EGYPTIAN CHEMICAL INDUSTRIES (KIMA)

Egyptian Exchange: EGCH · Aswan · Nitrogen fertilizers and industrial chemicals

Valuation study — 5 September 2026 · Reporting and valuation currency: Egyptian pounds · Anchor price EGP 14.41 at the close of 2026-09-03

Read first

What this is. An independent valuation of a single-site Egyptian nitrogen-fertilizer producer, built from the company's own audited statements and reviewed interim accounts, and read through four separate lenses rather than one.

What it is not. Not a rating, and not a price target. It reports a range of fair values, the reasoning behind each, and the probability map around today's price.

The one judgement that decides the answer. This company is building a nitric-acid and ammonium-nitrate complex whose bank-approved cost is about three quarters of its own stock-market value, and which was 12.9% built against a 37% plan at the last reported date. Whether that programme is carried through or stopped is worth more than three pounds a share. Both answers are computed and both are published side by side throughout this document. Neither is averaged into the other, because the average would be true in neither world.

How to read the numbers. The answer is the cash-flow lens, and on this company it has TWO SIDES: EGP 4.04 a share if the capital programme is carried through and EGP 8.04 if it is stopped. Both are published throughout and neither is averaged into the other. The other lenses — relative multiples, normalised earnings and book value — are CROSS-CHECKS printed beside the answer, not weights inside it. A previous edition published a weighted blend of the four at stated weights; the weights were typed and had never been tested, and averaging several methods does not make a number more robust than the best of them — it makes a new method with free parameters nobody checked. Where the lenses disagree, the disagreement is the information, and section 4 isolates which assumption drives which gap.

Headline

Four lenses put this company between EGP 4.04 and EGP 15.99 a share. It trades at EGP 14.41. The gap is not a rounding difference between the lenses: it is the whole disagreement. The multiple lens, on the range Egyptian fertilizer producers actually trade at, centres at EGP 15.99 — above the traded price — and it reaches that answer only by never asking what the capital programme does to cash. THE TWO LENSES THAT DO ASK SPLIT ON THE ANSWER, and the split is the study: carrying the programme through gives EGP 4.04 and stopping it gives EGP 8.04 — a difference of EGP 4.00 a share that is what the capital costs its owners. Both sit below the traded price, and so does normalised earnings at EGP 4.29.

Three things push in the same direction. An EGP 20.3 billion capital programme is running two years behind its own plan. The debt book is 99.7% dollar-denominated against an earnings stream that must service it in pounds — a single quarter's translation swing this year was larger than the whole nine-month profit. And any cost of capital anchored to Egypt's sovereign risk lands in the mid-twenties, which is brutal for a business whose cash arrives late.

Read the other way round: the traded price is reproduced by this model only at a flat nominal discount rate of about 13.0%, against a sovereign ten-year yield of 23.0% on the same day. That is the disagreement stated precisely rather than argued.

Valuation summary — every read at a glance

Read	Basis	Range (EGP/share)	Central	vs spot
Cash flow — programme carried through	Five-year free cash flow to the firm on a cost of capital gliding from 25.8% to 18.3%, terminal growth 7.0%	0.91 to 4.17	4.04	-72%
Cash flow — programme stopped	The same model with the capital programme wound down in the first forecast year and the plant run as it stands	5.33 to 8.11	8.04	-44%
Relative multiples	Forward operating profit before depreciation at 6.0x to 9.9x, the Egyptian industrial range, with 8.0x central	11.26 to 20.71	15.99	+11%
Normalised earnings power	Mid-cycle profit after tax of EGP 1,502m at 8x to 12x, 10x central	2.78 to 5.80	4.29	-70%
Book value and sustainable return	Book equity of EGP 8.16 a share at the multiple a 6.9% sustainable return on equity justifies against a 29.3% cost of equity	—	0.00	-100%
THE ANSWER — the cash-flow lens, both sides, never averaged	**The class primary IS the answer and every other read above is a cross-check printed beside it. This one is TWO-SIDED: EGP 4.04 with the capital programme carried through — the company's own stated plan — and EGP 8.04 if it is stopped. The judgement is binary, so an average would describe a half-built plant. The range shown is the floor and ceiling of every read, not a weighted extreme**	**4.04 to 15.99**	**4.04**	**-72%**
Market price	**Closing price on the anchor date**	**—**	**14.41**	**—**
ALTERNATIVE READINGS — each a full re-run of the model with ONE component moved, and none of them inside the field above				
A 10% ad-valorem export duty charged on every export tonne, for ever	No duty at all (6.7226) or half the rate (5.3811)	—	6.72	-53%
Country risk priced off the sovereign's traded default swap	Priced off the sovereign's credit rating instead, which is the wider of the two spreads and gives a cost of capital 113 basis points higher	—	2.51	-83%
A cost of capital that glides from its spot build to a terminal rate made from its own long-run components	One flat spot rate applied to every explicit year and to the perpetuity	—	1.44	-90%
Terminal growth at the central bank's medium-term inflation target	Two percentage points below it, which is negative real maintenance growth	—	2.45	-83%
The cost of debt at the company's own disclosed rates — 19.4% on the local facility, 11.7% in dollars on the project loan carried at local-equivalent cost on the derived currency path, 24.4% in year one gliding to 13.9% at the terminal	Every leg floored at the 23.00% sovereign ten-year yield — the company's own facilities print no spread above the policy rate, so no spread is added	—	2.89	-80%
Beta from the five-year weekly regression of the share against the published EGX30 index	The lower bound of that regression's 90% confidence interval	—	5.78	-60%

Read	Basis	Range (EGP/share)	Central	vs spot
Gas at the realised price the company's own loss disclosure implies	The contract formula price in the operating agreement, which is higher	—	1.33	-91%
The new complex earning at half its derived nameplate in the terminal year	Seventy per cent, which is what a well-run nitrate line achieves	—	4.47	-69%
Maintenance capital expenditure at the company's own observed pre-project rate of 1.12% of revenue	Replacement-rate maintenance: gross fixed assets at the disclosed 3.95% machinery depreciation rate, or 6.11% of revenue	—	3.13	-78%
Capital maintenance charged at what replacing the plant costs today, on the 4.45-year average age the accounts MEASURE — accumulated depreciation over the year's own charge	Half the 22.1-year life the same accounts imply, 11.04 years, which is what has to be assumed where a company does not disclose enough to measure it	—	1.82	-87%
Gas consumption at 1,292 cubic metres a tonne of ammonia — the rate implied by allocating three quarters of the single disclosed materials line to gas, which carries the plant's disclosed losses as well as its standard usage	The auditor's own disclosed STANDARD rate of 1,200 cubic metres a tonne, which is what the plant consumes when it runs to specification and excludes the losses	—	4.88	-66%
Project spending anchored on the observed run rate: the nine-month actual extended to a full year	The faster profile the first issue of this study used, opening at EGP 3,000m	—	3.83	-73%

Table 1. Egyptian pounds a share against a traded price of EGP 14.41. Every alternative reading is a complete re-run of the model through the same case machinery, not an adjustment applied to the answer; each is argued for and against in section 1.8.

Terminal value as a share of enterprise value	Programme carried through	Programme stopped
Discounted cash-flow lens	73.5%	51.0%

Table 2. Reported beside the cash-flow lens because on this company it is the number that decides the answer. The explicit years contribute a present value of EGP 3,843 million on the carried-through case, so the terminal block carries 73.5% of enterprise value; the capital programme takes most of the window's operating cash, which is why the share is high for a going concern.

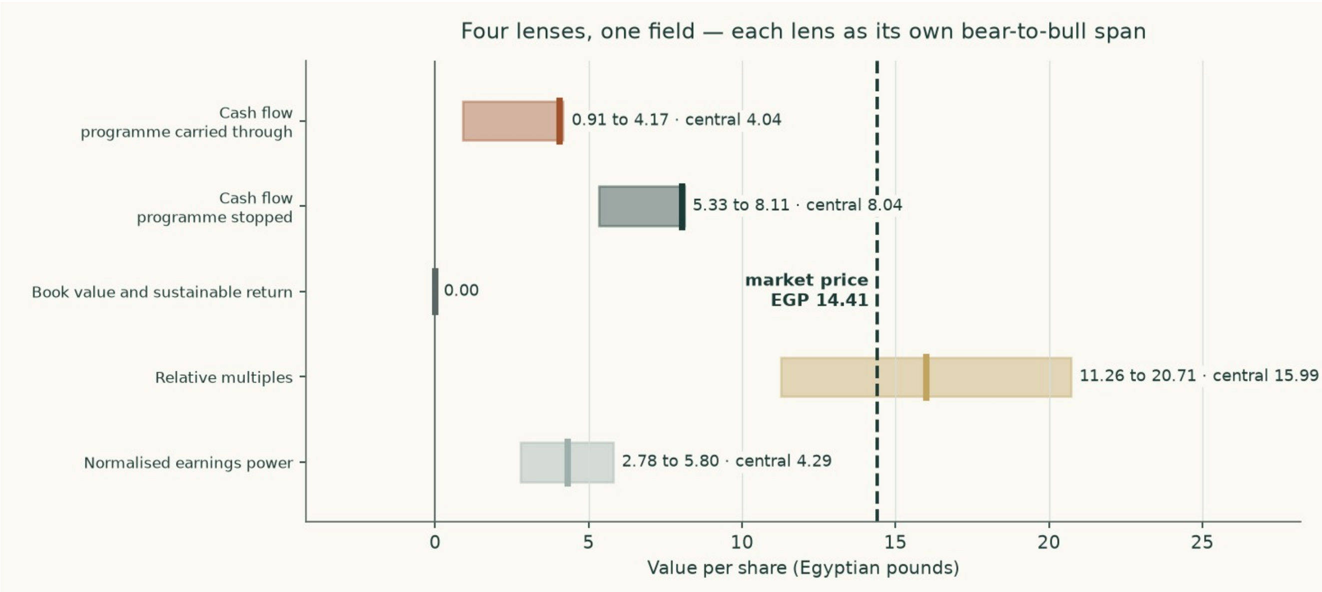

Figure 1. Each lens as its own bear-to-bull span, with the central marked, against the traded price.

The alternative readings are shown so that each genuinely contested choice in the construction can be priced rather than argued. The widest of them is the gas price: moving from the price the company's own loss disclosure implies to the contract formula price in its operating agreement is worth EGP 2.71 a share. The narrowest is terminal growth, worth EGP 1.59. Not one of them, alone or together, reaches the traded price — which is the finding this study reports, and the reason the headline states the discount rate the market itself implies rather than asserting that the market is wrong.

Company overview

Egyptian Chemical Industries, universally called KIMA, has made nitrogen fertilizer at Aswan since 1956. It is 69.8% owned by the state-controlled Chemical Industries Holding Company, with public-sector insurance funds and a state bank holding most of the rest; the free float is about 6.2%. Its accounts are audited by Egypt's Central Auditing Organization, jointly with a private firm in some years.

The audited revenue note for the year to 30 June 2025 splits EGP 8,603 million into EGP 6,609 million of exports and EGP 1,994 million of local sales. There is no lending book, no rental business of any size and no fee stream; the balance sheet is EGP 13,058 million of net plant and EGP 5,654 million of construction in progress. This is an operating company that converts natural gas into nitrogen products and sells them by the tonne, which is why it is valued on cash flow to the firm with a driver tree of volumes and prices rather than on a sum of parts or a dividend stream — it has paid no dividend in either of the last two years.

Product	FY2024/25 output (tonnes)	Unit cost (EGP/t)	Role
Urea, 46.5% nitrogen	513,385	7,509	The business: sold subsidised, on the local free market and for export
Liquid ammonia	318,242	9,114	Feedstock for urea; a small merchant volume is exported
Granulated 33.5% nitrate	17,887	4,076	Small nitrate leg
Low-density ammonium nitrate	8,171	8,154	Small nitrate leg
Nitric acid	35,590	610	Intermediate

Product	FY2024/25 output (tonnes)	Unit cost (EGP/t)	Role
Ferrosilicon	nil	n/a	Furnace idle since 2019 and leased to a tenant from May 2025, so it is now rent

Table 3. Production and unit costs as disclosed in the auditor's own cost table. Ammonia is consumed by urea rather than sold, which is why the surplus over urea's draw is what the new complex is built to use.

1 Fundamental valuation

1.1 The cash-flow model — the primary lens, with the full waterfall

Revenue is tonnes multiplied by price, channel by channel. Cost is physical consumption multiplied by a unit price. Free cash flow to the firm is then built line by line and discounted on a cost of capital that glides to a terminal rate assembled from its own components.

EGP million	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Revenue	11,674	12,693	13,513	14,277	15,043
EBITDA	**4,812**	**5,203**	**5,492**	**5,746**	**5,987**
Depreciation and amortisation	891	1,009	1,147	1,292	1,434
EBIT	**3,921**	**4,194**	**4,346**	**4,453**	**4,553**
NOPAT — EBIT after tax	3,039	3,251	3,368	3,451	3,529
Depreciation added back	891	1,009	1,147	1,292	1,434
Capital expenditure	-2,729	-3,242	-3,451	-3,359	-2,657
Change in working capital — a release adds, a build subtracts	788	-220	-190	-182	-183
FREE CASH FLOW TO THE FIRM	**1,989**	**798**	**874**	**1,202**	**2,122**
Discount rate from the glide	25.76%	23.82%	22.24%	21.02%	20.01%
Discount factor	0.7952	0.6422	0.5253	0.4341	0.3617
PRESENT VALUE OF FREE CASH FLOW	**1,581**	**512**	**459**	**522**	**768**

Table 4. The full waterfall, programme carried through. Every line is a live formula in the accompanying workbook.

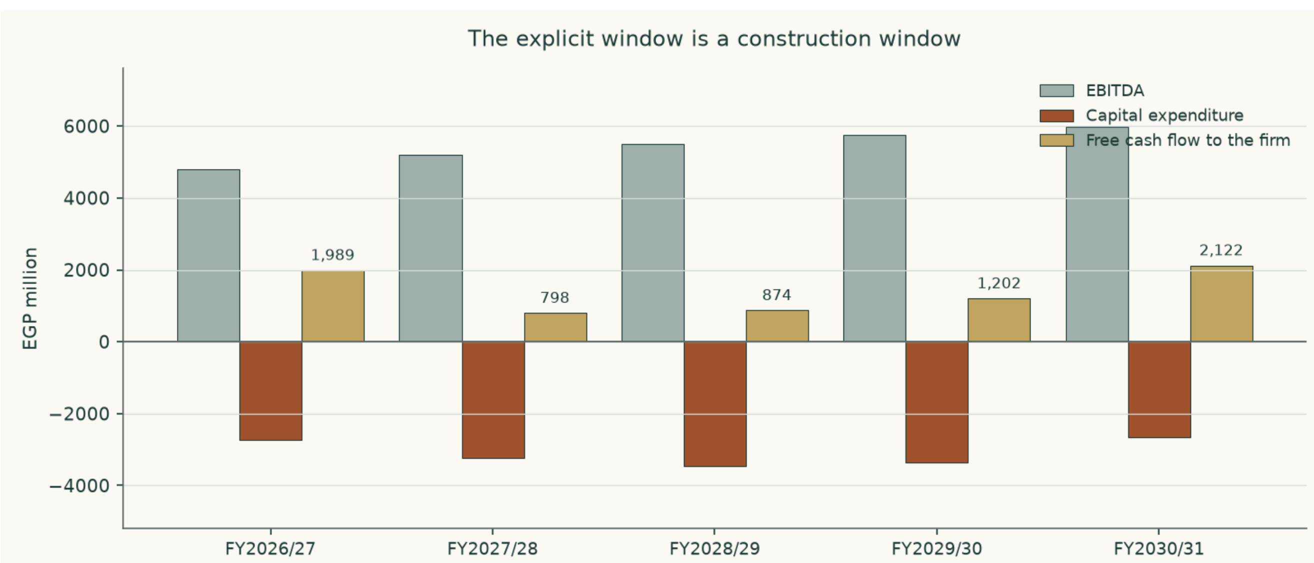

Figure 2. Operating profit is healthy throughout and free cash flow is not, because the capital programme absorbs it. This is the study in one picture.

The bridge from enterprise value to the equity — both sides of the judgement

Component	Carried through (EGP m)	Stopped (EGP m)
Present value of the explicit window	3,843	11,013
Present value of the terminal value	10,677	11,451
Enterprise value	**14,519**	**22,464**
Terminal value as a share of enterprise value	**73.5%**	**51.0%**
Less net debt	-10,032	-10,032
Plus listed equity stakes at market	1,383	1,383
Plus investment property	2,155	2,155
EQUITY VALUE	**8,025**	**15,970**
VALUE PER SHARE (EGP)	**4.04**	**8.04**

Table 5. Net debt of EGP 10,032 million stands against an enterprise value of EGP 14,519 million that the cash flows support, so the equity in the carried-through column is the narrow residual between two large numbers — which is why it moves so violently on any change to either. It is stated rather than clipped.

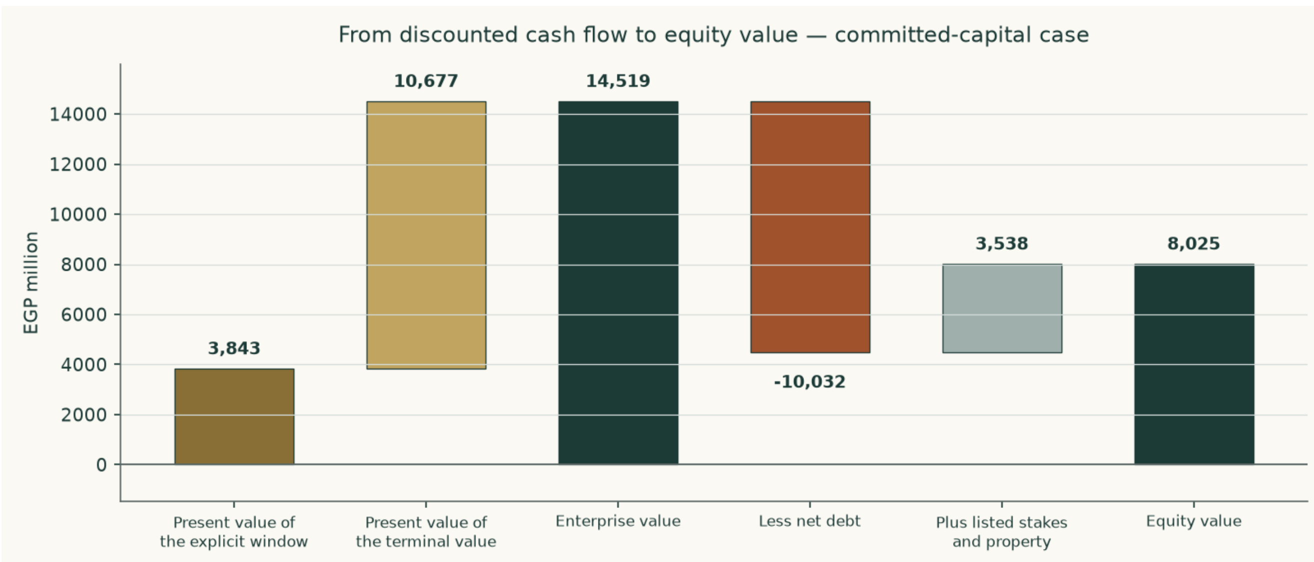

Figure 3. The bridge, carried-through case.

Why the answer is so far below the price, and what would change it

The same bridge in pounds a share makes the mechanism plain, and it is not the capital programme.

Carried-through case, per share	EGP
Enterprise value the cash flows support	7.31
Less net debt	-5.05
Plus listed stakes and investment property	1.78
EQUITY	**4.04**
Traded price	**14.41**

Table 6. The operating business is carried at EGP 7.31 a share against net debt of EGP 5.05 — more than the debt standing against it. Free cash flow is positive in 5 of the five forecast years. The equity is the thin residual between two large numbers, which is why the answer moves so violently on any change to either.

So the question is not whether the plant earns. It is whether EGP 14,519 million is the right enterprise value for a business generating around EGP 4,812 million of operating profit before depreciation, and that is entirely a question about the rate at which Egyptian pounds are capitalised. Holding every operating assumption exactly as built and moving only the discount rate:

A flat cost of capital of	Value per share (EGP)	What it would mean
25.0%	1.68	roughly the rate this study builds from the sovereign's own yield
20.0%	4.03	below the sovereign's ten-year yield of 23.0%
18.0%	5.61	
16.0%	7.93	
14.0%	11.62	
12.0%	18.36	
13.0%	**14.41**	**the rate the traded price itself implies**

Table 7. Every row is a full re-run. The answer stays positive across the whole ladder and rises from EGP 1.68 at 25.0% to EGP 18.36 at 12.0%; what moves is how far below the price it sits. Reaching the traded price needs about 13.0%, which is 10.0% below what Egypt's own government pays to borrow for ten years. That, and not the capital programme, is the disagreement between this study and the market.

1.2 Book value and sustainable return — the asset lens

Book equity stood at EGP 16,206 million at 31 March 2026, or EGP 8.16 a share. What that book is worth depends on what it earns. On underlying profit — the FY2023/24 result stripped of its one-off revaluation gain — the return on opening equity was 6.9% and then 6.8%, a sustainable 6.9%.

Line	Value
Book equity, 31 March 2026 (EGP m)	16,206
Book value per share (EGP)	8.16
Underlying profit FY2023/24 (EGP m)	503
Underlying profit FY2024/25 (EGP m)	987
Return on equity FY2023/24	6.9%
Return on equity FY2024/25	6.8%
Sustainable return on equity	**6.9%**
Cost of equity	29.28%
Terminal growth	7.0%
Justified price-to-book before flooring	-0.006x
Justified price-to-book	0.00x
Value per share on this lens (EGP)	**0.00**
Price-to-book the market pays	1.77x

Table 8. The justified multiple of book is negative before flooring: a sustainable return of 6.9% does not cover nominal maintenance growth of 7.0%, let alone a 29.28% cost of equity, so on this lens the book is worth nothing beyond what the assets would fetch, and the market pays 1.77 times it.

1.3 Relative multiples

Egyptian industrial businesses have generally changed hands between 6.0 and 9.9 times operating profit before depreciation. On forward EBITDA of EGP 4,812 million the mid-point implies an enterprise value of EGP 38,255 million and, after the debt and the non-operating stack, EGP 15.99 a share — a range of EGP 11.26 to EGP 20.71 across the band.

The two numbers worth putting side by side are these: at the traded price the operating business changes hands at 7.3 times that same forward EBITDA, while the cash-flow lens values it at 3.0 times — both measured on the enterprise value this study bridges from, with the listed stakes and the investment property taken out of each. One sits inside the Egyptian industrial band and the other below it. That is the whole disagreement in a single number, and it is reported rather than resolved.

Buying the equity at the traded price buys the stakes and the property too, and on that whole-company basis the multiple is 8.0 times. It is the larger number and it is not the comparable one, which is why the sentence above uses the operating figure.

This lens gives the highest of the four answers, and the reason matters. A multiple of forward operating profit never asks what the capital programme does to cash: it values the plant as though the money being spent on the new complex were not being spent. That is precisely the question the cash-flow lens exists to answer, which is why this one is a cross-check rather than the primary read.

1.4 Normalised earnings power

Strip out the construction, the translation noise and the price cycle. Take urea output at the three-year average of audited production, 540,542 tonnes, and a mid-cycle export price of US$400 a tonne — above the 2015-2020 average of roughly US$250 and well below the US$545 at which the contract settled in August 2026.

Line	EGP million
Mid-cycle revenue	9,657
Natural gas	-3,998
Other materials	-1,276
Wages and purchased services	-303
Inland freight	-662
Other selling and administration	-590
MID-CYCLE EBITDA	**2,828**
Less depreciation and amortisation	-891
MID-CYCLE OPERATING PROFIT	**1,938**
Less tax at 22.5%	-436
MID-CYCLE OPERATING PROFIT AFTER TAX	**1,502**
At 10.0 times — enterprise value	15,016
Less net debt	-10,032
Plus listed stakes at market and investment property	3,538
Equity value	**8,522**
Divided by shares in issue (1,986.6 million)	
Value per share at 10.0 times (EGP)	**4.29**
At 8.0 times (EGP)	2.78
At 12.0 times (EGP)	5.80

Table 9. A mature single-asset industrial in a high-inflation economy does not deserve more than ten times, and the band either side is shown. The column is printed in full: tax, net debt, the non-operating assets and the share count all appear, so a reader adding it up reaches the figure at the bottom.

1.5 Synthesis — four lenses, one field

The field runs from EGP 4.04 to EGP 15.99 a share. It is a wide field, and the width is honest: the lenses disagree because they ask different questions of a company whose asset base is changing underneath its earnings. One of them now reaches the traded price: on the observable Egyptian listed range the multiple lens centres at EGP 15.99 against EGP 14.41. That is a change from the first issue of this study, which used a lower multiple band it could not source, and it is reported rather than resisted.

The answer is the cash-flow lens alone: EGP 4.04 a share with the capital programme carried through, 72% below the traded price, and EGP 8.04 if the programme is stopped. It is the answer because it is the one lens that charges the capital programme against the years in which it is spent, which on this company is the whole question. The relative, normalised and book reads are CROSS-CHECKS published beside it — book value in particular prices what has been paid for rather than what it earns, and is a disclosed floor rather than a valuation. A previous edition blended all four at stated weights and published the result as the central; the weights were typed, had never cleared any out-of-sample test, and imported every weakness of the weakest read at whatever weight somebody chose. A number produced by averaging several methods is not more robust than the best of them — it is a new method with free parameters nobody tested. The blend is retired and published unused so a reader of the previous edition can see what changed. The bear and full readings are the floor and ceiling of every read, never a weighted extreme.

The ordering is itself informative. The asset-backed and multiple-based lenses sit highest because they value what has been built without asking what it earns. The cash-flow lens sits lowest because it asks exactly that, and gets an uncomfortable answer. The book value itself is EGP 8.16 a share as filed, and it is published as a FLOOR rather than a valuation; the justified multiple OF that book is zero, because a 6.9% sustainable return on equity barely clears nominal growth and does not approach a 29.28% cost of equity — a company earning below its cost of capital destroys value by growing, which is the same finding the capital programme produces from a different direction.

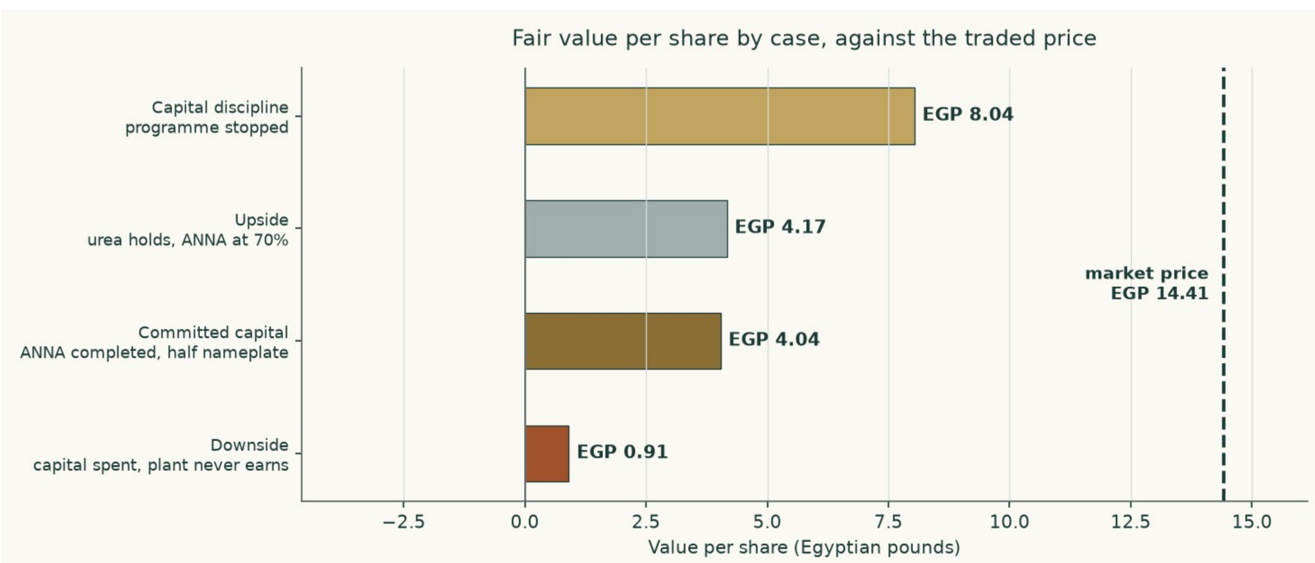

Figure 4. The same cash-flow model run in four states of the world. The spread between the top and the bottom bar is what the capital programme is worth, in either direction.

1.6 The drivers — each leg grown on its own driver, margins as outputs

The company reports one operating segment, so the build goes below it to the product and the channel, which is the finest level the statements source. Nothing in the model sets a margin: every margin falls out of tonnes, prices and physical consumption.

The channels, historically

Channel	FY2022/23	FY2023/24	FY2024/25	What sets it
Urea produced (tonnes)	586,373	521,868	513,385	Gas availability against a 574,875-tonne design plate
Export tonnes	—	—	350,318	Output less the subsidised and free-market legs
Subsidised tonnes	—	—	126,000	An administered quota the company has been unable to meet in full
Free-market tonnes	—	—	37,085	The residual of the local revenue note
Realised export price (US$/t)	—	—	385	The auditor's own disclosed average
Revenue (EGP m)	**6,612**	**6,532**	**8,603**	**Tonnes times price, in five legs**
Gross margin	**45.9%**	**32.7%**	**38.4%**	**An output, never an input**
Operating margin before depreciation	**46.8%**	**31.4%**	**35.5%**	**An output**

Table 10. The channel split is disclosed only for the most recent year, in the revenue note; the two earlier years disclose production and revenue but not the split between the three domestic and export channels. That gap is stated here rather than filled with an assumption.

How the forecast is driven

Driver	Basis	FY2026/27	FY2030/31
Urea output (tonnes)	Design plate with utilisation banded by gas availability	524,861	544,982
Export tonnes	Output less the subsidised and free-market legs	329,861	325,982
Export price (US$/t)	US$385 realised FY2024/25; US$545 spot; mean reversion	530	530
Exchange rate (EGP/US$)	Spot, carried on the inflation differential year by year	55.43	69.20
Subsidised price (EGP/t)	Cooperative supply price on an administered path	7,526	10,915
Gas (EGP per m3)	Realised dollar price through the exchange rate	9.16	11.44
Egyptian inflation	Converging on the central bank's target	14.0%	7.0%
Gross margin — OUTPUT	**Falls out of the above**	**45.7%**	**42.3%**
EBITDA margin — OUTPUT	**Falls out of the above**	**41.2%**	**39.8%**

Table 11. The physically distinct classes each carry their own escalator: gas on its administered dollar price through the exchange rate, the export price on the commodity path, the subsidised price on its administered path. The domestic lines — other materials, wages, purchased services, inland haulage, other selling and administration — share the one domestic inflation path, because that is the index they are paid in; a globally traded input is never put on it.

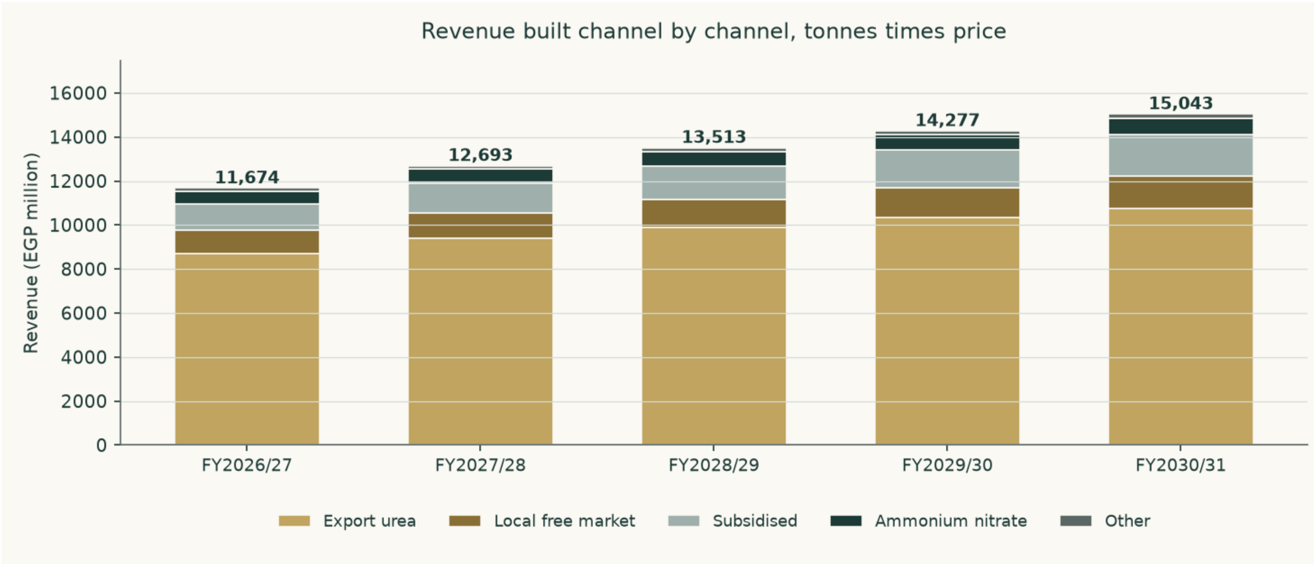

Figure 5. Revenue built channel by channel.

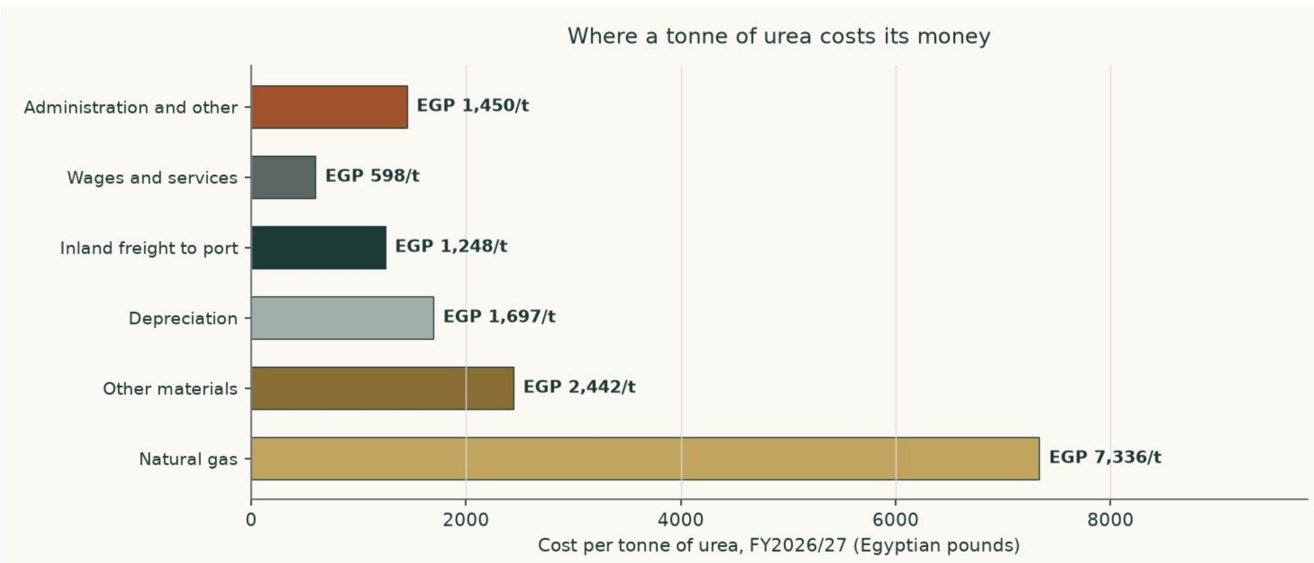

Figure 6. Where a tonne of urea costs its money. Gas dominates, which is why the gas price and the consumption rate are treated as crux variables.

What the build produces — margins as outputs

EGP million	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Revenue	11,674	12,693	13,513	14,277	15,043
Cost of sales	6,337	6,982	7,558	8,118	8,683
Gross profit	5,337	5,711	5,955	6,160	6,360
Gross margin	**45.7%**	**45.0%**	**44.1%**	**43.1%**	**42.3%**
Operating profit before depreciation	4,812	5,203	5,492	5,746	5,987
Margin before depreciation	**41.2%**	**41.0%**	**40.6%**	**40.2%**	**39.8%**
Operating profit	3,921	4,194	4,346	4,453	4,553
Operating margin	33.6%	33.0%	32.2%	31.2%	30.3%

Table 12. Not one margin in this table is set. Each is revenue less a cost stack built from physical consumption times a unit price, so the margin path is a consequence of the tonnes, the prices and the escalators above it. It eases from 45.7% to 42.3% because the dollar export price is held FLAT in nominal dollars — no forecast of a traded commodity

price is defensible — while the pound-denominated cost legs escalate on the domestic path. That is a real cost drift, and it is a claim rather than an assumption: the company's own audited accounts show cost per unit of revenue rising from 54.1% in the year to June 2023 to 61.6% in the year to June 2025, which is the direction the forecast carries forward.

The revenue mix, the first forecast year against the last

Channel	FY2026/27 revenue (EGP m)	Share	FY2030/31 revenue (EGP m)	Share
Export urea	8,722	74.7%	10,760	71.5%
Subsidised urea	1,167	10.0%	1,910	12.7%
Free-market urea	1,058	9.1%	1,452	9.7%
Nitrates	588	5.0%	734	4.9%
Other	140	1.2%	186	1.2%
Total	**11,674**	**100.0%**	**15,043**	**100.0%**

Table 13. The export leg shrinks as a share of the total, not because the company sells less abroad but because the administered domestic price rises faster than the export price falls. A reader who expects the opposite is disagreeing with one of those two paths, and section 1.9 prices both.

One allocation is the model's rather than the company's, and it is the largest in the study. The audited statements give a single materials line and do not split gas from everything else. Gas is set at three quarters of that line, which implies 1,292 cubic metres per tonne of ammonia — inside the auditor's own disclosed range of 1,025 to 1,771. A reader who prefers a different split should move the gas driver and watch the model reprice.

1.7 The crux — the capital programme first, the price second

One judgement dominates. The new complex has a bank-approved cost of EGP 6,422 million plus US$278.4 million — about EGP 20.3 billion at today's rate, against a stock-market value of EGP 28.6 billion. EGP 5,654 million sat in construction at 31 March 2026 and the auditor put physical progress at 12.9% against a 37.0% plan.

Carried through, the programme is worth EGP 4.04 a share. Stopped, EGP 8.04. The difference, EGP 4.00 a share or EGP 7,945 million of equity, is the cost of the programme to shareholders on this model's assumptions. What decides it is whether the plant, once built, earns a return above the capital sunk into it. On the disclosed cost and the derived nameplate it does not.

The capital programme	Value	Where it comes from
Bank-approved cost	EGP 6,422m plus US$278.4m	The facility signed on 25 June 2025
Approved cost, one currency	EGP 20,342m	At the rate prevailing when it was approved
As a share of the whole company's market value	71.1%	Against a market value of EGP 28,627m
Spent by 31 March 2026	EGP 5,654m	Construction in progress on the reviewed balance sheet
Money spent, as a share of the approved cost	**27.8%**	**Derived**
Physical progress reported	12.9%	The auditor's own figure at September 2025
Physical progress planned by the same date	37.0%	The auditor's own figure
Still to spend	EGP 14,688m	Derived
Derived nameplate	264,000 tonnes a year	FLAGGED as derived: no filing states it
Capital per annual tonne	EGP 77,052	Approved cost over derived nameplate

The capital programme	Value	Where it comes from
What it earns after tax in the terminal year, at half nameplate	EGP 40m	The model's own terminal year
Return on the approved cost	**0.2%**	**Derived**
Against a terminal cost of capital of	**18.3%**	**Section 1.8**

Table 14. The two lines that matter are the fifth and the sixth. More than a quarter of the money has been spent against an eighth of the plant, and the whole of it earns a return an order of magnitude below what the capital costs. Neither number is a forecast: both are the company's own disclosures set against the model's own terminal year.

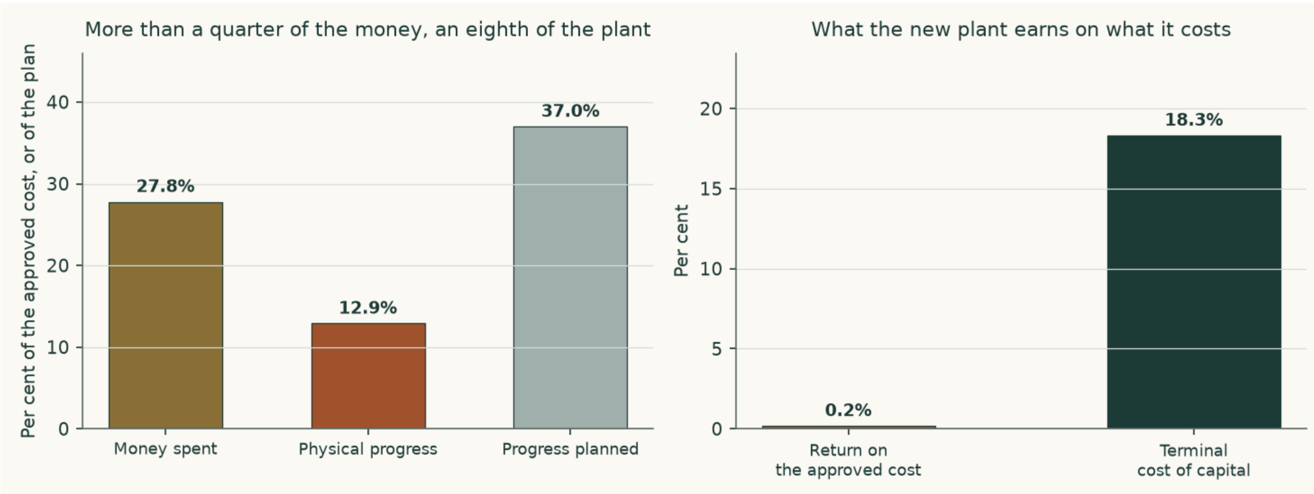

Figure 7. On the left, what has been spent against what has been built. On the right, what the finished plant earns against what the capital costs.

What the company actually spends — the capital-expenditure record

Before any of the above can be read, one question has to be answered from the statements rather than assumed: is this a one-off build, or is it what this company spends? The cash-flow statements answer it directly. The investing section carries a single line — payments to acquire fixed assets, projects under construction — and it has two clean years before the programme started.

Year	Capital expenditure paid (EGP m)	Revenue (EGP m)	Of revenue	What it was
FY2021/22	**80.8**	**4,441**	**1.8%**	**Before the project**
FY2022/23	**42.5**	**6,612**	**0.6%**	**Before the project**
FY2023/24	2,396.6	6,532	36.7%	The build begins
FY2024/25	1,545.1	8,603	18.0%	Building
9M FY2025/26	1,949.1	7,315	26.6%	Nine months actual; a full year at this rate is EGP 2,599m

Table 15. The two shaded years are the answer. With nothing being built, this plant cost EGP 80.8m and then EGP 42.5m a year to keep running — pooled, 1.1% of revenue. Everything above that is the new complex.

Three things follow, and the first two correct this study rather than confirm it. First, the capital expenditure in the forecast IS a one-off bulk: EGP 14,688 million across five years against EGP 14,688 million still to spend on the approved cost, after which it stops. Second, it does not repeat inside any horizon this study can see — the disclosed depreciation rate on the plant's machinery is 3.95% a year, an asset life of about 25 years, so the replacement cycle sits far beyond the terminal year. Third, and this is the correction: maintenance capital expenditure is now set at the 1.1% of revenue the company has actually paid, not at a three per cent mature-

plant standard. That standard was an assertion, it was 2.7 times the pooled rate of the two pre-project years and 1.6 times the higher of them, and no disclosure supported it.

The project path is anchored the same way. The company spent EGP 1,545.1m in the last audited year and EGP 1,949.1m in nine months of this one — a full year at that rate is EGP 2,599m, and that is where the forecast now opens. The remaining years complete the approved cost inside the window, because the terminal year only earns if the plant is finished.

The honest counter-argument is that the two pre-project years flatter the plant: it was newly built, and new plant does not need much. The upper framing of the same driver is replacement-rate maintenance — gross fixed assets at that same 3.95% machinery rate, or 6.1% of revenue. Both are published: the observed rate is the central and the replacement rate is the downside, and they are worth EGP 0.91 a share between them. They are not averaged.

The asset-conversion cycle — disclosed, then projected from it

Working capital is not a percentage of revenue in this model. It is three day counts taken from the audited statements and applied to the forecast revenue and cost of sales, so that every pound of it traces to a receivable, an inventory or a payable rather than to a plug.

Days	FY2022/23	FY2023/24	FY2024/25	Carried forward
Receivable days	44.1	48.0	26.8	26.8
Inventory days	142.1	134.1	165.2	165.2
Payable days	139.7	131.8	83.2	83.2
Cash-conversion cycle	**46.5**	**50.3**	**108.9**	**108.9**
Working capital (EGP m)	823	887	1,823	2,281
As a share of revenue	**12.4%**	**13.6%**	**21.2%**	**19.5%**

Table 16. Inventory is the whole story: 165.2 days of cost of sales sat in stock at the last audited date, against 26.8 days of receivables. A plant a thousand kilometres from its export port carries its working capital in warehouses, and the auditor's inability to satisfy itself on the slow-moving provision is a caveat about exactly this line.

The second-order crux is the long-run export price, and the third is the rate at which a perpetuity of Egyptian pounds is capitalised. Both are observable — one prints daily on a listed futures contract, the other can be read against the sovereign's own borrowing cost — which is why section 1.9 sensitises them in those units rather than in percentage-point abstractions.

1.8 Macro and country — rates, the pound, and the sourced cost of capital

Sovereign risk enters exactly once. The local government bond yield is reduced by Egypt's own default spread before a country-loaded equity premium is added back, because charging the same risk in both places would count it twice. Both premium bases the underlying data supports are published, and neither is mixed with the other's risk-free rate.

Component	Rating basis	CDS basis	Source
Local ten-year government yield	23.00%	23.00%	Market quote, 6 August 2026, corroborated by a treasury bond listed at a 23.10% coupon
Less sovereign default spread	6.37%	3.41%	Country-premium workbook, Egypt row
Normalised risk-free rate	**16.63%**	**19.59%**	**Built, not quoted**
Equity risk premium	13.94%	9.41%	Mature-market 4.23% plus the Egypt country premium

Component	Rating basis	CDS basis	Source
Beta	1.030	1.030	Own-stock weekly regression, 253 observations, R-squared 0.250, standard error 0.191
Cost of equity	**30.99%**	**29.28%**	
Cost of debt after tax, year one	18.86%	18.86%	99.7% dollar, carried at local-equivalent cost on that year's currency wedge of 11.3%
Weights, equity and debt	66.2% / 33.8%	66.2% / 33.8%	Market-value equity, never book
Cost of capital, year one	**26.88%**	**25.76%**	**The swap basis is carried into the valuation, as the market's own live pricing of the sovereign's credit against a rating judgement updated in steps. It is 113 basis points BELOW the rating basis, so the choice is not the conservative one and is not made on that ground; section 1.9 prices what the other basis is worth**

Table 17. The cost of capital, built rather than assumed, on both premium bases.

The cost of debt — three pieces of evidence, not an assumption

Evidence	What it shows	Rate
The holding-company facility	EGP 500 million drawn in FY2024/25 carried EGP 96.9 million of interest — the company's own latest local-currency borrowing	19.40%
The project loan	EGP 1,338.0 million of interest on a mean dollar balance of about US$233 million	11.70% in dollars
The new facility	US$82.9 million plus EGP 5,931 million, signed 25 June 2025 and amortising to 2035 and 2036 — the same dual-currency structure forward	same structure

The pound tranche of the project loan was repaid in June 2024, so 99.7% of the book is dollar-denominated. A dollar coupon cannot be dropped into a cost of capital denominated in pounds: the company earns pounds and must buy dollars to service it. The dollar cost of 11.7% is therefore grossed up, year by year, by the depreciation the study's own currency path implies in that year — 11.3% in FY2026/27, giving a local-equivalent 24.35%, gliding to 4.5% in FY2030/31 and 16.72% — and to 4.5% on the long-run dollar cost of 9.0% in the terminal year, 13.90% on the dollar leg (13.91% once the 0.3% local facility is blended in). The wedge is the one the revenue build uses, so the debt and the currency cannot quietly disagree.

Two things about that construction are disclosed rather than argued, because the cost-of-capital build tests for both. The company's own local-currency facility carries 19.40% against a 23.00% sovereign ten-year yield: a same-currency corporate borrowing below its sovereign. It is the company's disclosed rate on a state-bank facility and is used as disclosed. A same-currency borrower does not normally borrow below its sovereign, so the construction with every leg floored at the 23.00% sovereign yield plus the company's own spread over the policy rate — which its facilities print as nil — is priced in the table below: EGP 2.89 a share on the carried-through cash-flow lens against EGP 4.04, a difference of EGP -1.15. The lower disclosed rates raise the answer, so the choice made leans toward the traded price, not away from it.

Where this construction is contested, and what the alternative is worth

A spot cost of capital embeds today's 14.3% inflation in every future year, while the terminal value grows at the central bank's longest-horizon target of 7.0%. Capitalising one at the other is a units mismatch, and on a company whose value sits in its terminal year it would be the largest error in the study. The rate therefore glides to a terminal rate built from its own components: 7.0% inflation — the same figure terminal growth is set at, so the perpetuity neither grows nor shrinks in real terms — compounded with a 5.5% real rate gives a normalised risk-free rate of 12.50%, and the terminal cost of capital is 18.33%. Discount factors compound the glide year by year rather than raising one rate to a power. The earlier edition of this study discounted a 7.0%-growth perpetuity at a terminal rate built on the shorter-horizon 7.0% target, which assumed a real decline of about two per cent a year for ever that nothing disclosed; that is corrected here.

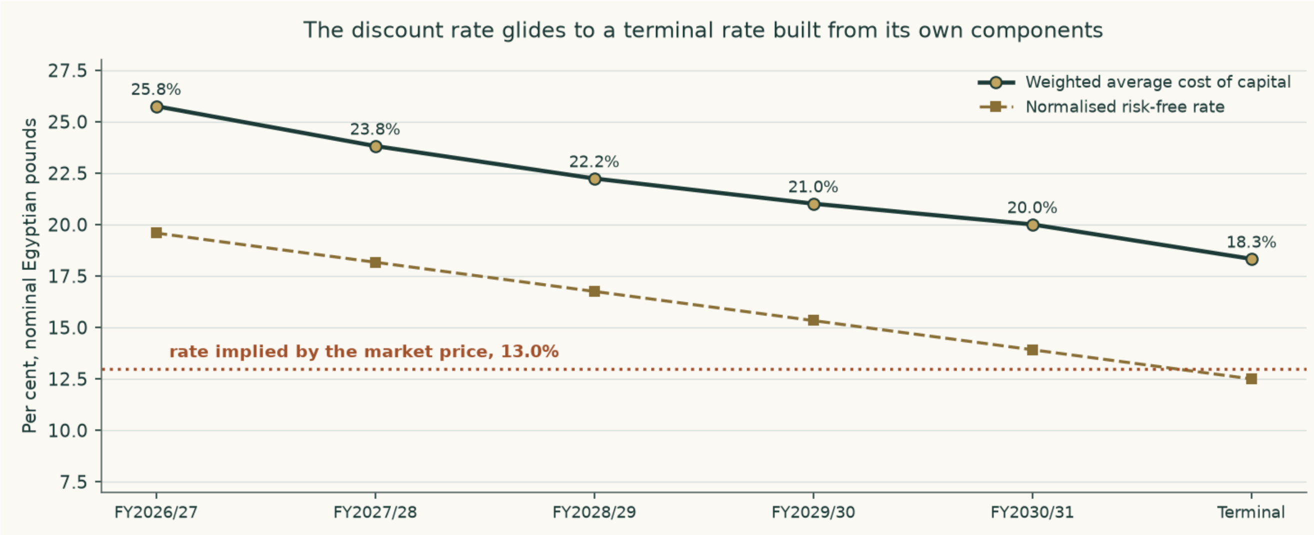

Figure 8. The rate glides from its spot build to a terminal rate made from its own parts. The dotted line is the rate the traded price implies.

Twelve choices in the construction above are legitimately arguable, and every one of them has been priced rather than defended in prose. Each row below is a complete re-run of the model with that single component moved and everything else held, so the figure in the third column is what this study would have published had it made the other choice.

Choice made	The alternative	On the alternative	Against EGP 4.04	Why we keep ours
A 10% ad-valorem export duty charged on every export tonne, for ever	No duty at all (6.7226) or half the rate (5.3811)	6.72	+2.68	THIS IS THE LARGEST SINGLE LINE IN THE STUDY AND ITS SOURCE NAMES NO INSTRUMENT. The two cabinet decisions and the ministry decree it sits beside are each cited by number and date; this one cites a description of a change, dated 2026-01-01, which is a placeholder rather than a publication date. The study's own sweep register says where it actually comes from -- 'Mada Masr and Edge Consultancy reporting on the Sep-2025 redistribution and 2026 duty change' -- against the 2021 decisions, which come as cited in the auditor's own reports. Press about a sector is industry context and the input is tiered L4 now, not L3 'Official external'. THE DIRECTION IS AGAINST THIS STUDY: removing the duty RAISES the value and narrows the gap to the market, and it is priced for that reason rather than despite it [R-GAP-04]. What would settle it: the 2026 decree with its number, date and rate, or the FY2025/26 auditor's report disclosing a duty actually charged, the way the FY2024/25 report disclosed the EGP 437.5m shortfall levy on 175kt.

Choice made	The alternative	On the alternati ve	Against EGP 4.04	Why we keep ours
Country risk priced off the sovereign's traded default swap	Priced off the sovereign's credit rating instead, which is the wider of the two spreads and gives a cost of capital 113 basis points higher	2.51	-1.53	The swap basis is the market's own live pricing of this sovereign's credit, against a rating judgement updated in steps. It is the NARROWER spread, so this is not the conservative choice and is not made on that ground; the rating basis is priced here rather than argued about. Both are published in full in section 1.8 and neither is ever mixed with the other's risk-free rate.
A cost of capital that glides from its spot build to a terminal rate made from its own long-run components	One flat spot rate applied to every explicit year and to the perpetuity	1.44	-2.60	A spot rate carries today's inflation print into a perpetuity growing at the central bank's target. That is a units mismatch, and on a company whose value sits in its terminal year it would be the largest single error in the study.
Terminal growth at the central bank's medium-term inflation target	Two percentage points below it, which is negative real maintenance growth	2.45	-1.59	Nominal maintenance growth with no real growth is the neutral assumption for a single plant at steady state. Below inflation implies the asset shrinks in real terms every year forever, which the maintenance capital expenditure in the model is sized to prevent.
The cost of debt at the company's own disclosed rates — 19.4% on the local facility, 11.7% in dollars on the project loan carried at local-equivalent cost on the derived currency path, 24.4% in year one gliding to 13.9% at the terminal	Every leg floored at the 23.00% sovereign ten-year yield — the company's own facilities print no spread above the policy rate, so no spread is added	2.89	-1.15	A same-currency corporate cannot normally borrow below its sovereign, and the local facility does (its dollar leg sits below the normalised risk-free rate in 0 of the five explicit years). The disclosed rates are what the company actually pays on state-bank facilities and are used as disclosed; the floored construction is published beside them, not averaged in.
Beta from the five-year weekly regression of the share against the published EGX30 index	The lower bound of that regression's own 90% confidence interval	5.78	+1.74	The regression passes all three conditions of the usability test, so the point estimate is adopted; the interval is wide because the share is thinly traded, and the lower bound is priced here rather than argued away.
Gas at the realised price the company's own loss disclosure implies	The contract formula price in the operating agreement, which is higher	1.33	-2.71	The realised price is what the company actually paid on its own numbers. The contract price is carried as the downside case rather than as the central assumption, because a company that has been paying less than its contract for three years is evidence, not an exception.
The new complex earning at half its derived nameplate in the terminal year	Seventy per cent, which is what a well-run nitrate line achieves	4.47	+0.43	Half is the observed record of the existing plant against its own plate under the same gas constraint. Assuming the new line does better than the old one on the same feedstock would need evidence no filing provides.
Maintenance capital expenditure at the company's own observed pre-project rate of 1.12% of revenue	Replacement-rate maintenance: gross fixed assets at the disclosed 3.95% machinery depreciation rate, or 6.11% of revenue	3.13	-0.91	The observed rate is what this company has actually paid to keep this plant running in the two years when it was not building anything. The replacement-rate framing is the honest upper bound — a plant cannot spend a fifth of its depreciation forever — and it is carried as the downside case rather than averaged into the central.

Choice made	The alternative	On the alternative	Against EGP 4.04	Why we keep ours
Capital maintenance charged at what replacing the plant costs today, on the 4.45-year average age the accounts MEASURE — accumulated depreciation over the year's own charge	Half the 22.1-year life the same accounts imply, 11.04 years, which is what has to be assumed where a company does not disclose enough to measure it	1.82	-2.22	This is the largest contested number inside the TERMINAL, and the third largest of the ten alternatives priced here — behind the gas price and the discount-rate glide, both of which are about the forecast rather than about the terminal. It is a question about THIS BASE rather than about method. Half the life is the right assumption for a plant in steady state, where the average asset is half worn out. This one is not: only 1.3% of the base is fully depreciated and still in production, and a second complex is still being built, so the measured age is a quarter of the life rather than half. The measured figure is adopted BECAUSE it is measured, and the assumed one is published beside it so a reader can see what the disclosure is worth. THIS ROW REPLACED THE TERMINAL REINVESTMENT ROW, which priced a return on capital that no longer enters the terminal at all: under the sanctioned construction there is no reinvestment rate to contest, and this module's own gate caught the dead alternative the moment it scored zero.
Gas consumption at 1,292 cubic metres a tonne of ammonia — the rate implied by allocating three quarters of the single disclosed materials line to gas, which carries the plant's disclosed losses as well as its standard usage	The auditor's own disclosed STANDARD rate of 1,200 cubic metres a tonne, which is what the plant consumes when it runs to specification and excludes the losses	4.88	+0.84	The disclosed standard is the cleaner number and it is not what this plant does: the same auditor's report discloses 38,480,270 cubic metres of gas LOST in FY2024/25, which over that year's ammonia output is a further 120.9 cubic metres a tonne. Standard plus disclosed loss is 1,320.9 and the modelled rate sits between the two. The higher figure is adopted because a model of what this plant actually consumes has to carry the losses; the standard is priced here because it is a disclosed primary figure and a reader is entitled to see what adopting it would be worth. It is the only alternative in this table that was found by an audit run from OUTSIDE the study rather than chosen by it, which is the argument for that audit.
Project spending anchored on the observed run rate: the nine-month actual extended to a full year	The faster profile the first issue of this study used, opening at EGP 3,000m	3.83	-0.21	The company has never spent EGP 3,000m in a year on this project. The observed rate is a disclosed, dated figure and the total still completes the approved cost inside the forecast window.

Table 18. The two that move the answer most are gas (-2.71) and export duty 2026 (+2.68); none of the 12, and no combination of them, closes the gap to the traded price.

1.9 Sensitivity

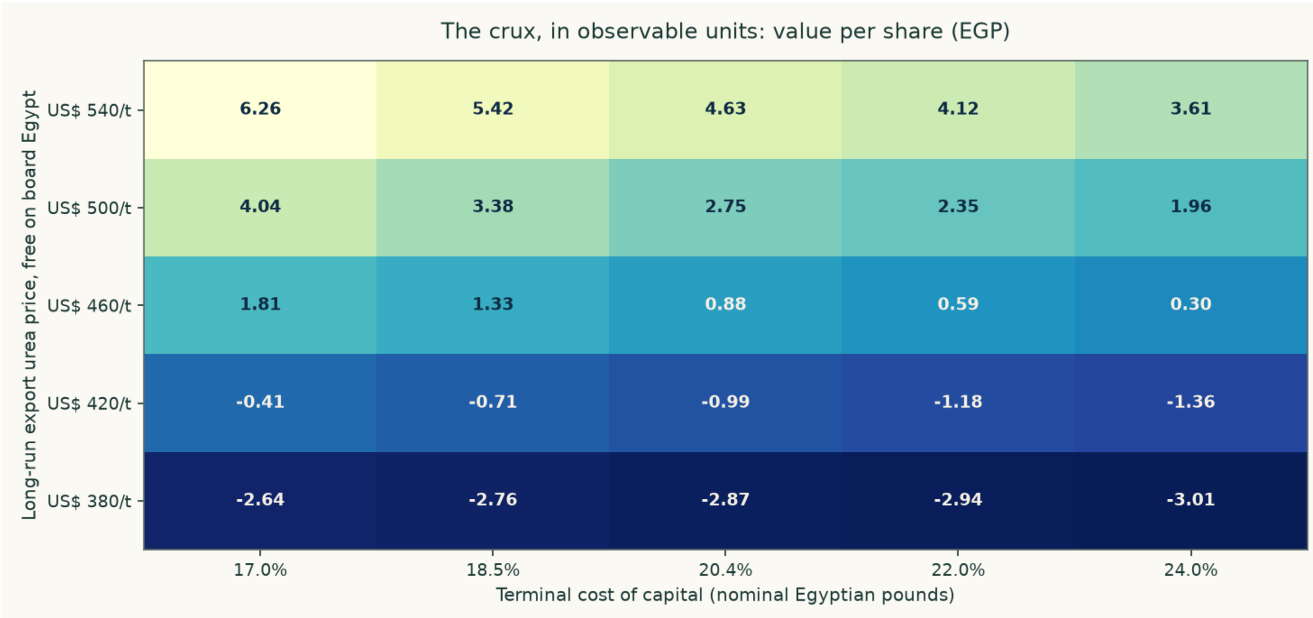

Figure 9. Value per share across the two observable inputs that decide it. Every cell is a complete revaluation, not an interpolation.

The same grid in numbers. Each column is a long-run export price in dollars a tonne, each row a terminal cost of capital, and each cell a full re-run of the model — the segment build, the waterfall, the terminal year and the bridge — not a multiplier applied to the central answer.

Terminal cost of capital	US$380/t	US$420/t	US$460/t	US$500/t	US$540/t
17.0%	-2.64	-0.41	1.81	4.04	6.26
18.5%	-2.76	-0.71	1.33	3.38	5.42
20.4%	-2.87	-0.99	0.88	2.75	4.63
22.0%	-2.94	-1.18	0.59	2.35	4.12
24.0%	-3.01	-1.36	0.30	1.96	3.61

Table 19. The highest cell in the grid is EGP 6.26, at a long-run export price above today's spot and a terminal rate below the sovereign's own short-term yield. Reaching EGP 14.41 requires leaving the grid altogether, which is what the reverse calculation in the headline does explicitly.

Each anchor below is varied independently around its own base, so the swings do not add. Every one is the difference between two complete re-runs of the model.

What moves	Range tested	Fair value span (EGP/share)	Swing
Long-run export price	**US$380 to US$540 a tonne**	**-2.87 to 4.63**	**7.50**
The capital programme	Carried through against stopped	4.04 to 8.04	4.00
Gas price	The realised price against the contract formula price	1.33 to 4.04	2.71
Beta	1.030 against the lower bound of its own ninety-per-cent interval, 0.717	4.04 to 5.78	1.74
Terminal growth	7.0% against 3.0%	2.45 to 4.04	1.59
Country-risk basis	Rating spread against traded default swap	2.51 to 4.04	1.53
Terminal cost of capital	17.0% to 24.0%	0.30 to 1.81	1.51

What moves	Range tested	Fair value span (EGP/share)	Swing
Cost of debt	Disclosed rates against every leg floored at the 23.00% sovereign yield	2.89 to 4.04	1.15
Maintenance capital expenditure	1.1% of revenue against 0.7%	3.13 to 4.04	0.91
Project utilisation in the terminal year	50.0% against 70.0%	4.04 to 4.47	0.43

Table 20. Ranked by the size of the swing. The capital programme dominates everything else on this company, which is why it and not the discount rate is the study's contested judgement, and why it is published both ways rather than averaged.

The beta deserves a note of its own, because it is the one input in the cost of capital that comes from a statistical estimate rather than from a quote or a disclosure. It is 1.030, from 253 weekly observations over 4.9 years of the share against the published EGX30 index — the index of the exchange the share is listed on, as of 2026-07-22 — on the exchange's own Sunday-to-Thursday week. The regression explains 25.0% of the variation with a standard error of 0.191, so all three conditions of the usability test are met and the estimate is adopted rather than defaulted; the Blume-adjusted cross-check is 1.020. The interval is wide, 0.72 to 1.34 at ninety per cent, because the share is thinly traded, and the lower bound is priced with the other contested constructions in section 1.8 rather than argued away: at 0.72 the answer is EGP 5.78 instead of EGP 4.04. The earlier edition of this study regressed the share against an equal-weight basket of the Egyptian names this series happens to cover; that basket is a coverage artefact and not a market, and the figure it produced (1.053) is withdrawn.

2 Technical and price structure

The shares closed at EGP 13.98 on 2026-08-06, 9.0% below their fifty-two-week high of EGP 15.37 and 47.2% above the low of EGP 9.50. The relative strength index reads 60.6 and the average true range is EGP 0.44, or 3.1% of the price a session — a stock that moves about three per cent on an ordinary day.

Level	Price (EGP)	Distance from the close
Resistance 1	14.98	7.2%
Resistance 2	15.37	9.9%
Resistance 3	16.00	14.4%
Support 1	12.49	-10.7%
Support 2	11.13	-20.4%
Support 3	9.83	-29.7%

Table 21. Levels are computed from recency-weighted pivot clusters in the same cleaned price history the rest of the study uses; the first of each is the nearest to the close. Nothing here is fitted and nothing is hand-drawn.

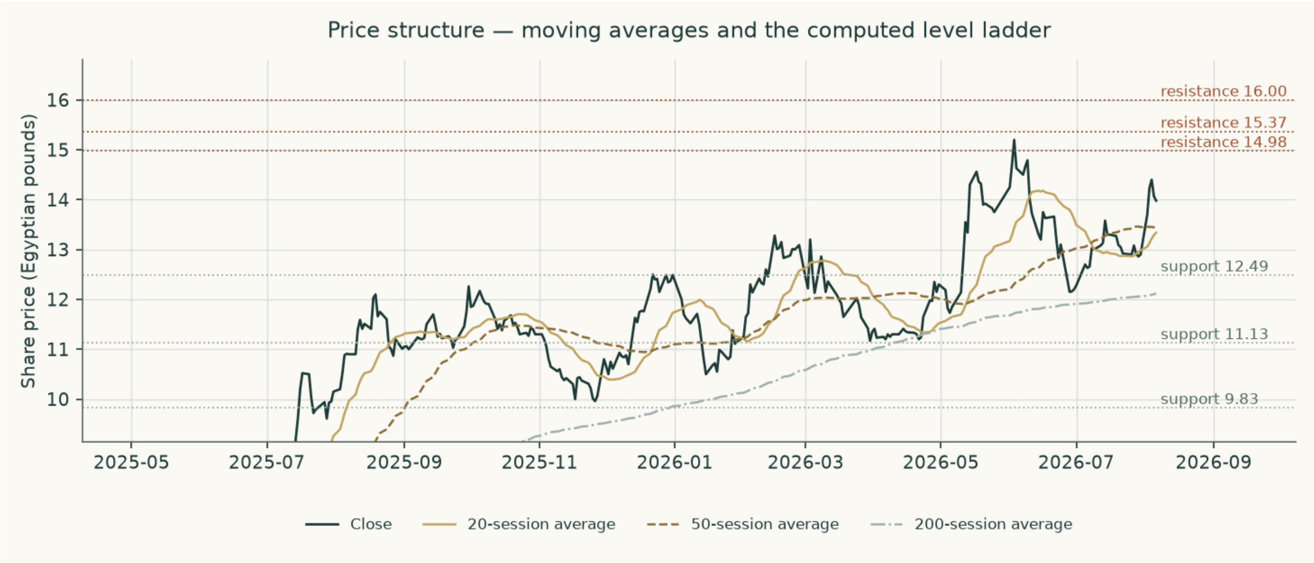

Figure 10. Price structure — moving averages and the computed level ladder.

A technical read cannot speak to whether a business is worth owning, and this one makes no fundamental claim. What it does say is that the price sits in the upper part of its own year, with the nearest resistance about seven per cent above and the nearest support about eleven per cent below — an asymmetry worth knowing when reading the probability map that follows.

3 A probabilistic price map

This is a map of where the traded price may go, not of what the business is worth. It comes from fifty thousand simulated paths anchored on the 2026-08-06 close of EGP 13.98, drifting at the carry the market itself sets — the local risk-free rate less the dividend yield, which is zero here because nothing was distributed in either of the last two years. That anchor is the last session in the price history this map was simulated from, and it is EARLIER than the 2026-09-03 close of EGP 14.41 the valuation is struck against: the two run on different clocks and a fresh price moves the valuation without re-running the simulation. Read every percentile below against EGP 13.98, not against the price on the masthead.

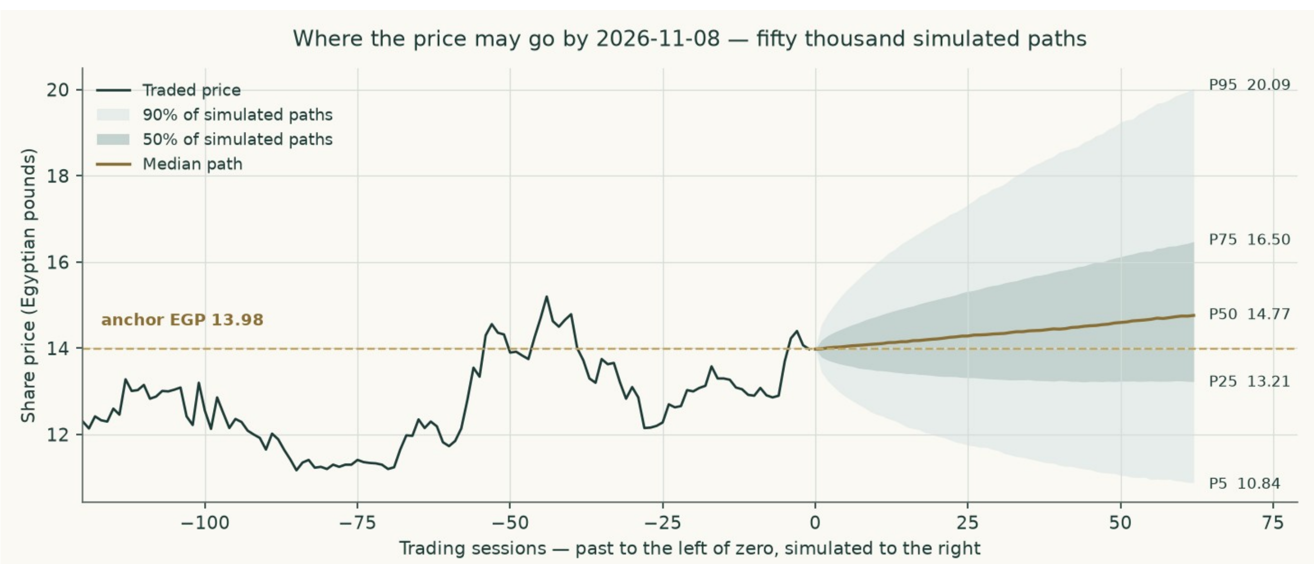

Figure 11. The middle of the simulated distribution over time, to 2026-11-08. The shaded bands hold half and ninety per cent of the paths.

Percentile map (Egyptian pounds a share)

Percentile	One month, to 2026-09-06	Three months, to 2026-11-08
Percentile 5	12.12	10.84
Percentile 25	13.45	13.21
Percentile 50	14.26	14.77
Percentile 75	15.11	16.50
Percentile 95	16.77	20.09
Probability the price ends above EGP 13.98, the close it was struck at on 2026-08-06	**59.1%**	**63.1%**

Table 22. The map says where the price may end. It is not a forecast of where it will end, and the probability in the last row is the share of paths finishing above the anchor, not a claim about direction. THE ANCHOR IS NOT THE VALUATION PRICE: the price distribution is struck on the price history and the valuation on the latest close, and they are a month apart here — two clocks, both dated, never mixed.

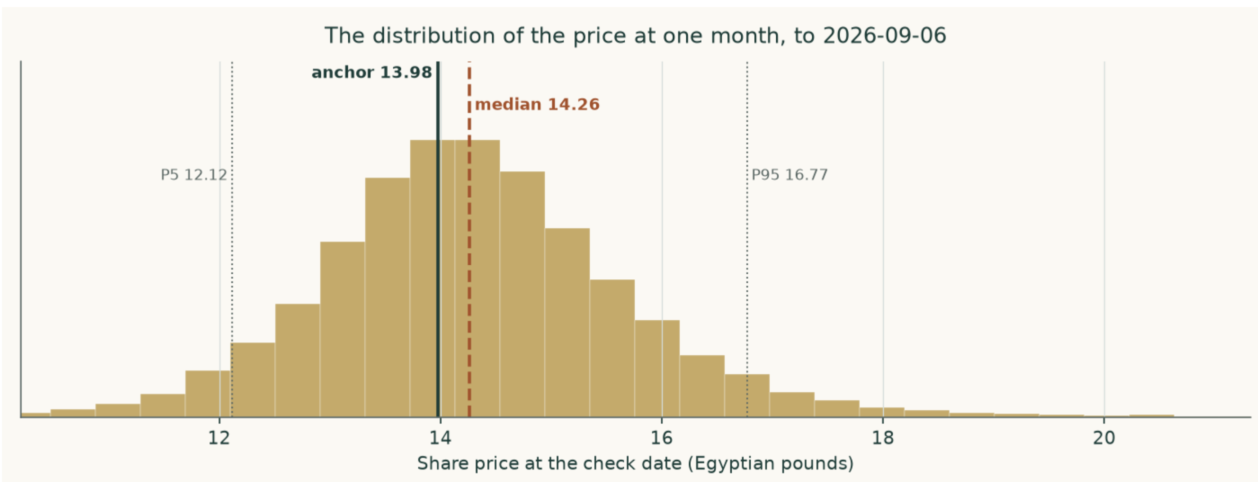

Figure 12. The shape of the distribution at one month, to 2026-09-06.

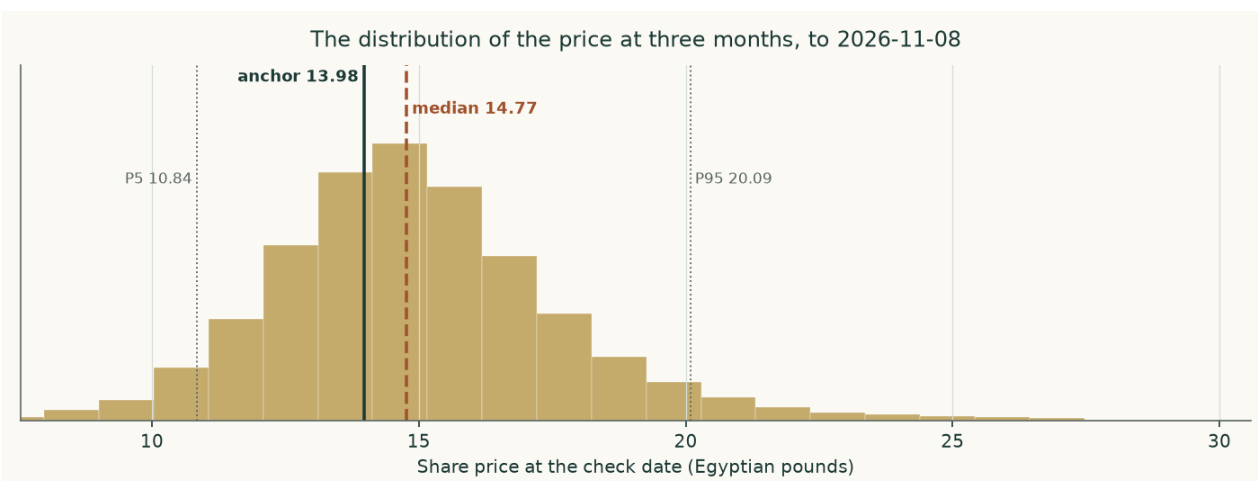

Figure 13. And at three months, to 2026-11-08. The right tail is longer than the left because the price cannot fall below zero and can rise without a bound — which is why the median sits below the mean and why the ladder below, not the median, is the more useful line.

Level-touch ladder

The percentile map says where the price may END. This ladder says how likely it is to TRADE THROUGH a level at any point before the check date, which is a different and usually larger number.

Level	One month	Three months
Up 5%	56.9%	79.8%
Up 10%	30.1%	62.6%
Up 15%	15.0%	47.4%
Up 20%	7.6%	35.1%
Down 5%	40.3%	60.3%
Down 10%	16.3%	37.5%
Down 15%	6.2%	22.2%
Down 20%	2.4%	13.0%

Table 23. Probability of touching each level at any point before the check date.

How this has done, in plain terms. Over 57 resolved three-month forecasts on this share the price finished inside the ninety-per-cent band 94.7% of the time, inside the eighty-per-cent band 87.7% and inside the fifty-per-cent band 56.1% — against the ninety, eighty and fifty they promise. The record earns no flag either way. By the count ladder this house uses it is a long record, and the ninety-per-cent band ran 1.45 times the width of a naive band anchored on the carry alone — a width disclosed beside the record and never used as a threshold, because a wider band is not automatically a wrong one.

Two honest limits. The bands are wide because this share is volatile — an annualised 46.8% at the anchor date — and a wide band that is right is worth more than a narrow one that is wrong. And the map says nothing about value: a price can stay far above what a business is worth for a very long time, and on a stock with a six per cent free float it can do so on modest volume.

4 Comparison of the lenses

Lens	EGP/share	What it assumes that the others do not	Which assumption drives its gap to the cash-flow lens
Cash flow — carried through	4.04	That the capital programme is completed and earns at half its derived nameplate	—
Cash flow — stopped	8.04	That the board stops after one further year and runs the plant it owns	The programme alone: EGP 4.00
Book value — the disclosed floor	8.16	Shareholders' funds per share as filed. Not a valuation and never weighted into one	On the return this book actually earns (6.9% against a cost of equity of 29.28%) the justified multiple of it is zero — the floor is what the assets are carried at, not what they earn
Relative multiples	15.99	That a peer multiple on forward operating profit captures the whole business	It ignores capital expenditure entirely; that is the whole gap
Normalised earnings power	4.29	That an average year is the right year, and the balance sheet is stable	Mid-cycle pricing plus the same blindness to the capital programme

Table 24. The divergence is structured, not random. Every lens that lands above the cash-flow reading does so by not asking what the capital programme costs.

The reading we take from this is not that four lenses agree — they do not, and a study that made them agree would have hidden the thing worth knowing. It is that they disagree in one direction and for one reason. The three lenses that land above the cash-flow reading all reach their answer by declining to charge the capital programme against the years in which it is actually spent: the multiple lens capitalises a forward operating profit that is struck before capital expenditure, the normalised lens values a steady state the company is not in, and the book lens values what has already been paid for. Each is a legitimate question. None of them is the question that decides this company.

Our own reading therefore sits at the conservative end of the field, and the field's upper bound of EGP 15.99 should be read as what the shares would be worth if the programme were free — which it is not. The multiple lens does reach EGP 14.41, and that is the whole point of it: at the multiple Egyptian fertilizer producers actually trade at, a reader who ignores the capital programme gets the market's answer. The cash-flow lens, which does not ignore it, does not. The gap is reported as the flat discount rate that would close it, about 13.0% against a sovereign ten-year yield of 23.0%, so that a reader who disagrees can see precisely what they are disagreeing with rather than being asked to accept a conclusion.

No rating and no price target is expressed here or anywhere else in this document. What is published is a field of fair values, the reasoning behind each, and the probability map around today's price.

5 Catalysts

Catalyst	Why it matters	What to watch
A dated capacity disclosure for the new complex	The nameplate used in this study is derived from the ammonia design plate because no filing states it, and it is the input the terminal value is most sensitive to after the discount rate.	The annual report's note on the project, or any prospectus for the facility drawn to build it
Physical progress moving back toward plan	Progress ran 12.9% against a 37.0% plan while more than a quarter of the money had been spent. Closing that gap shortens the construction window and brings the terminal contribution forward.	The percentage-of-completion figure the auditor discloses each year, against construction in progress on the balance sheet
A structural fix to industrial gas supply	Every tonne not made is fixed cost with no revenue against it. The stoppage cost was EGP 164.5m in the last audited year and EGP 152.7m the year before.	The disclosed stoppage cost, and the summer curtailment months in the quarterly production numbers
A price regime the market treats as permanent	The study assumes mean reversion from a war-tightened level toward the cash cost of the marginal gas-based producer. A decade above today's spot is a different company.	The Egyptian free-on-board quote against the model's path, and any change in the export duty that sits between the two
The debt moving into the currency the company earns	99.7% of the book is dollar-denominated against a revenue stream that is largely priced in dollars but settled in pounds. A single quarter's translation swing this year was larger than the whole nine-month profit.	Any refinancing announcement, and the currency split in the borrowings note
The first dividend	Nothing was distributed in either of the last two years. A distribution would say the board considers the capital programme funded.	The appropriation statement in the annual accounts
The next disclosed quarter against this study's own forecast	This study forecasts the year to June 2026 from nine reviewed months. The fourth quarter is a direct test of that construction.	Revenue against EGP 10,379m and gross margin against 43.9% for the full year

Table 25. Each of these is observable from a disclosure the company already makes. None of them requires an estimate to detect.

6 Reading the probability zones

Three zones, and what each would mean. The boundaries are the quartiles of the three-month distribution in section 3, not levels chosen for the purpose.

Zone	Three-month range (EGP)	How to read it
Below the lower quartile	under 13.21	The price would be moving toward the upper end of what the four lenses support, and the gap this study reports would be closing from the price side rather than from the value side.
The ordinary range	13.21 to 16.50	Half the simulated paths end here. Nothing inside it would tell a reader anything about value, in either direction.
Above the upper quartile	16.50 to 20.09	The market would be paying more for a business whose sustainable return on equity is 6.9% against a cost of equity of 29.3%, with the capital programme still unfinished.
Above the ninety-fifth percentile	over 20.09	One path in twenty. On a free float of about six per cent this can happen on modest volume, which is a fact about the register rather than about the business.
What none of the zones says	**—**	**Where the price will go. The distribution is a map of dispersion around today's price and carries no view of value; the value work is sections 1 and 4.**

Table 26. Zones, not targets.

The single most useful line in section 3 is the ladder rather than the map: there is a 13.0% chance of touching twenty per cent below today's price at some point in three months, against 35.1% of touching twenty per cent above. A reader who cares about the path, not just the destination, should read that pair together — and should note that the two are close to each other even though the median path drifts up, which is what a wide, right-skewed distribution looks like from the inside.

7 Caveats and what would change our mind

The auditor's reports carry a formal basis for qualification in every year examined. They are not boilerplate and they are part of the evidence: fixed assets whose useful lives and residual values have not been reassessed as the standard requires; inventory whose slow-moving provision the auditor could not satisfy itself was sufficient; a shortfall of 1,648 tonnes of urea between warehouse records and the physical count at Damietta; supplier and customer balances unconfirmed; and, on the capital programme, a holding-company committee finding of severe deficiencies in the award process. A reader who discounts this study should discount the statements underneath it first.

The largest modelled allocation is the gas share of the cost stack. The statements give one materials line of EGP 4,399m and do not split gas from the rest. Gas is set at 75.0% of it, which implies 1,292 cubic metres a tonne of ammonia — inside the auditor's own disclosed 1,025 to 1,771 range, but a choice nonetheless. The alternative gas price is priced in section 1.8 and is worth EGP 2.71 a share.

Maintenance capital expenditure is the driver this study got wrong on its first issue and has since re-anchored. It was set at three per cent of revenue on the assertion that the company's own observed spending was abnormally low; the cash-flow statements show two pre-project years at 1.1% of revenue, and that is now the central. The correction is worth EGP 0.34 a share on its own. The replacement-rate framing at 6.1% is published beside it as the downside rather than averaged in.

The terminal charge for keeping the plant intact is the largest single judgement left in the model, and it is now a measurement rather than an assumption. Earlier editions charged the terminal by reinvesting a share of profit set by growth over an assumed return on capital — a construction that, read as a capital programme, rebuilds the entire asset base every 14.3 years, which is a fact about the pound rather than about a urea plant. It now charges what replacing the plant costs at today's prices: the book depreciation charge escalated over the average age of the base. THAT AGE IS READ OFF THE ACCOUNTS rather than assumed —

accumulated depreciation over the year's own charge is the charge-weighted average age under straight-line depreciation, and it comes to 4.45 years against the 22.07-year replacement cycle the same note implies. This base is a quarter worn rather than half: only EGP 220 million of it, 1.3% of the depreciable cost, is fully depreciated and still in production. Where a company discloses too little to measure the age, half the life has to be assumed instead, and on this base that assumption is worth EGP 2.22 a share — the fourth largest of the ten priced alternatives, behind only the gas price and the discount-rate glide, and the reason the measurement was worth making.

The new plant's capacity is derived, not disclosed. No filing states it. It is built from the ammonia design plate less the draw of urea at its own plate, converted at the nitrate route's ammonia ratio. Every figure that depends on it is flagged as derived wherever it appears, and the utilisation applied to it is sensitised in both directions.

Terminal value is 73.5% of enterprise value on the carried-through case and 51.0% on the stopped case. The explicit years are a construction window: free cash flow to the firm is positive in 5 of the five years and negative in the other 0, and their present value is EGP 3,843 million against a terminal block of EGP 10,677 million. That is a real characteristic of an asset being rebuilt, not a modelling artefact — but it does mean the answer rests more heavily on one year than most studies do.

The forecast for the year to June 2026 rests on nine reviewed months and one run-rated quarter. The fourth quarter is run-rated on the third quarter's revenue with a 3.0% haircut for the summer gas curtailment, and the translation line is set to zero because a currency swing is not forecastable. That last choice matters: the nine-month translation loss was larger than the nine-month profit.

The currency of discounting is unresolved and is the largest single judgement after the capital programme. This is a company that sells most of its output in dollars, borrows almost entirely in dollars, and reports in pounds. The study discounts pound cash flows at a pound rate throughout and carries the dollar debt at local-equivalent cost using the same depreciation wedge that drives the revenue path, so the two cannot quietly disagree. A dollar valuation would be a different study, not a different number.

The concentration risks are plain and are not diversifiable inside this company: one product, one site, one feedstock, one regulator setting both the domestic price and the export duty, and a single offtake arrangement covering roughly two thirds of production. The state and its related institutions hold about 69.8% of the shares and the free float is about 6.2%, so the traded price is set in a thin market. That is worth remembering when comparing it with any valuation, including this one.

The subsidised quota is a legal obligation the company has not been able to meet. It delivered 147,000 tonnes of a 322,000-tonne requirement over fourteen months. The forecast does not assume that gap closes, but it also does not price a penalty for it, because none is disclosed.

The share count is taken from the capital note rather than from the exchange, whose page is behind an automated challenge. Two third-party sources carry figures inconsistent with the note and with each other; both are recorded in the bibliography as documented discrepancies and neither is used anywhere in the build.

The method itself has been tested on this company's own history before being trusted on its future. Rebuilt as it would have stood at each of 13 year-ends from June 2012 to June 2024 and projected one to five years ahead — 55 tested cases over eighteen fiscal years of the company's own audited statements — it forecast revenue and cost of sales better than simply assuming no change, and it did NOT forecast net profit better than assuming no change: on the profit line its average miss was 1.6 times the miss of carrying last year's figure forward, and it came in below the outturn in 73.9% of cases. Two lines account for most of that. The company capitalises the currency translation of its dollar project loans into the plant rather than charging it to profit, so a mechanical currency charge on the debt overstated the loss in every devaluation year; and a statutory-rate tax formula cannot see a company that has paid almost no current tax since the new complex started. No correction factor was adopted from that record: every one that passed its own test made the following year worse. What it changed in this edition is stated in the terminal-rate discussion above and in the currency path, and years three to five of the forecast are published in Appendix A as ranges built from the record's own error distribution rather than as points.

What would change our mind, specifically. Upward: a disclosed capacity for the new complex that earns above the cost of capital on the approved cost; the programme completing near that cost rather than above it; a sustained export price regime above the top of the tested grid; a refinancing that moves the debt into pounds; or evidence that Egyptian equity risk is genuinely priced below its own sovereign — which would revalue every Egyptian equity, not only this one. Downward: the contract gas price replacing the realised price; a further slip in physical progress against money spent; or a translation loss on the scale of this year's repeating.

Appendix A Financial statements

A.1 Income statement — three years historical and five years forecast (EGP million)

EGP million	FY2022/23	FY2023/24	FY2024/25	FY2025/26E	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Revenue	6,612	6,532	8,603	10,379	11,674	12,693	13,513	14,277	15,043
Cost of sales	3,574	4,396	5,300	5,825	6,337	6,982	7,558	8,118	8,683
Gross profit	**3,038**	**2,136**	**3,302**	**4,554**	**5,337**	**5,711**	**5,955**	**6,160**	**6,360**
Selling and distribution	474	563	786	980	856	944	1,019	1,090	1,164
Administrative	189	298	360	365	410	453	490	526	563
EBIT before other items	**2,375**	**1,276**	**2,156**	**3,209**	**3,921**	**4,194**	**4,346**	**4,453**	**4,553**
Depreciation and amortisation	719	773	896	891	891	1,009	1,147	1,292	1,434
EBITDA	**3,094**	**2,049**	**3,052**	**4,099**	**4,812**	**5,203**	**5,492**	**5,746**	**5,987**
Gross margin	45.9%	32.7%	38.4%	43.9%	45.7%	45.0%	44.1%	43.1%	42.3%
EBITDA margin	46.8%	31.4%	35.5%	39.5%	41.2%	41.0%	40.6%	40.2%	39.8%
Net profit as reported	1,151	2,538	987	531					

Table 27. The EBIT line is struck before provisions, currency translation and other income and expense, so it measures trading rather than the statements' own operating result which mixes all three. The FY2023/24 reported profit includes EGP 2,035 million of one-off investment-property revaluation gain; the underlying figure is about EGP 503 million, and every margin and return in this study uses the underlying number. Depreciation for FY2024/25 is the disclosed charge plus disclosed amortisation; for the two earlier years only the depreciation inside cost of sales is separately disclosed, so the amortisation element there is a modelled estimate and is flagged rather than presented as reported. FY2025/26 is nine months reviewed plus a fourth quarter run-rated on the third quarter, with the translation line set to zero.

A.2 Balance sheet (EGP million)

EGP million	30 Jun 2023	30 Jun 2024	30 Jun 2025	31 Mar 2026
Net fixed assets	11,300	14,144	13,587	13,058
Construction in progress	56	2,535	3,790	5,654
Investment property	0	2,035	2,161	2,155
Investments at fair value	1,855	2,491	2,163	1,383
Intangible assets	1,909	2,376	2,257	2,170

EGP million	30 Jun 2023	30 Jun 2024	30 Jun 2025	31 Mar 2026
Inventory	1,392	1,615	2,400	3,378
Receivables	799	858	631	1,230
Cash and equivalents	1,416	3,103	3,057	4,607
Total assets	**18,728**	**29,158**	**30,046**	**33,634**
Paid-in capital	5,933	9,933	9,933	9,933
Reserves and retained earnings	1,317	4,627	5,430	6,273
Long-term bank loans	8,425	11,226	11,183	14,386
Holding-company loans	50	0	597	46
Deferred tax liability	1,469	1,001	991	961
Provisions	144	432	309	292
Payables and other	1,368	1,587	1,208	1,539
Current portion of long-term debt	21	354	397	207
Gross interest-bearing debt	**8,497**	**11,580**	**12,178**	**14,639**
Net debt	**7,080**	**8,477**	**9,120**	**10,032**

A.3 Forecast balance sheet and cash-flow markers (EGP million)

EGP million	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Capital expenditure	2,729	3,242	3,451	3,359	2,657
Depreciation and amortisation	891	1,009	1,147	1,292	1,434
Receivables	856	931	991	1,047	1,104
Inventory	2,869	3,161	3,422	3,675	3,931
Payables	1,444	1,591	1,722	1,850	1,979
Net working capital	2,281	2,501	2,691	2,873	3,056
Change in net working capital	-788	220	190	182	183
Free cash flow to the firm	**1,989**	**798**	**874**	**1,202**	**2,122**

Table 28. Working capital is projected from the day counts the audited statements themselves imply — 26.8 days of receivables, 165.2 of inventory and 83.2 of payables — rather than plugged.

A.4 Years three to five as ranges — the method's own tested error, applied

EGP million	FY2028/29	FY2029/30	FY2030/31
Revenue — point	13,513	14,277	15,043
Gross profit — point	5,955	6,160	6,360
Operating profit before depreciation — point	**5,492**	**5,746**	**5,987**
Revenue — low of the range	1,445	507	1,220
Revenue — high of the range	15,881	17,139	19,995
Gross profit — low of the range	1,557	1,387	538
Gross profit — high of the range	**11,914**	**11,170**	**8,565**
Tested cases behind the revenue band	11	10	9
Tested cases behind the gross-profit band	6	5	5

Table 29. The multipliers come from projecting this company's own past, year-end by year-end, with the same rules and scoring each projection against what was later reported. A range that runs from a tenth of the point to above it is

not a forecast of collapse; it is a measurement of how little a mechanical method knew, three years out, about a company that replaced its plant, floated its currency and tripled its output inside the tested window. The far years of any projection of this company support a range and never a point, and the fair-value field in the summary already spans that width.

Appendix B Peer frame, risk register and the research register

B.1 Peers and the sector frame

Company	Market	Urea capacity (kt/yr)	Why it matters here
Egyptian Chemical Industries	EGX	575	The subject. The only Egyptian nitrogen producer off the coast, which is why freight to port is its own disclosed cost line.
Abu Qir Fertilizers	EGX	2,000	The listed comparator, and the marketer of the subject's ammonia exports for a fee of 12% of the export price. The subject held 2.7% of it and began selling down.
MOPCO	Unlisted	1,800	Curtailed alongside the rest of the industry in the 2026 gas squeeze; the subject's own urea is warehoused at Damietta for export.
Helwan Fertilizers and NCIC	Unlisted	1,300	Completes the supply picture against which the export share is allocated.

B.2 Risk register

Risk	How it shows up in the numbers	Where it is carried
Gas curtailment	EGP 164.5 million of stoppage cost in FY2024/25 and about EGP 781 million of abnormal gas loss cumulatively since July 2022	Utilisation path and a standing stoppage line
Currency	A EGP 1,072 million translation loss in nine months on an almost entirely dollar debt book	The cost of debt and the currency path
The capital programme	Approved cost about three quarters of market value, 12.9% built against a 37% plan	The contested judgement, computed both ways
Administered pricing	An export levy of EGP 438 million charged on the quota shortfall in one year	Channel mix and the duty
Governance	A holding-company committee finding severe deficiencies in the project award process	The haircut in the asset-based expert's range
Concentration	One product, one site, one feedstock, one offtake counterparty for about two thirds of production	Not diversifiable — stated, not modelled
Liquidity	A free float of 6.2%	Stated; no model adjustment

B.3 The research register — layers, dated, negative results included

Layer	What it covers	Inputs
L1	Primary filing — the company's own statements	190
L2	Primary market data	14
L3	Official external (regulator, central bank, government)	11
L4	Industry and sector context	24
L5	Constructed in this study	65
Total	**Every input carries a value, a source, a date and a layer**	**304**

Table 30. The full register — every input with its value, date and source-and-construction — is printed in the separate bibliography document, together with the judgements table, the negative results and the notes on where a widely quoted third-party figure disagreed with the filings.

Appendix C The expert valuation panel

Three practitioners were put the same question by genuinely different methods. Each states a worldview, when the method works and when it fails, shows every intermediate line of the arithmetic, names the sensitivity that moves the answer, and commits in advance to what would prove them wrong.

C.1 Expert 1 — Replacement cost and asset backing

Worldview. A plant is worth what it would cost to build again, less what is owed against it. Cash flows are a claim on the asset; the asset is the thing.

When it works. When an asset is scarce, hard to permit and expensive to replicate — which a gas-connected nitrogen complex in Egypt certainly is.

When it fails. When the asset cannot earn its keep. Replacement cost sets a ceiling on what a rational buyer pays and says nothing about what an owner receives.

Line	Value	Basis
Gross fixed assets at cost	17,022	note 6
Less accumulated depreciation	-3,435	note 6
Net book value of the operating plant	13,587	as reported
Urea plate (tonnes a year)	574,875	1,575 t/day contractual plate
Build cost, low (US$ per annual tonne)	550.00	industry range
Build cost, high (US$ per annual tonne)	700.00	industry range
Replacement cost at the low end (EGP m)	15,743	plate x cost x the rate
Replacement cost at the high end (EGP m)	20,036	
Replacement cost, mid-point (EGP m)	17,889	
Construction in progress at cost (EGP m)	5,654	31 March 2026
Haircut for delay and the governance findings	-2,261	40%
Construction in progress, valued (EGP m)	3,392	
Listed equity stakes at market (EGP m)	1,383	
Investment property (EGP m)	2,155	
Gross asset value (EGP m)	24,819	
Less net debt (EGP m)	-10,032	31 March 2026
Equity before any control discount (EGP m)	14,787	
Per share before the discount (EGP)	7.44	
Control discount on a state-held listed industrial	-40.0%	observed
Equity after the discount (EGP m)	8,872	
PER SHARE (EGP)	4.47	

Table 31. Expert 1's workings in full — every intermediate line, not a summary of them.

Range: EGP 3.82 to EGP 8.52 a share.

Reading it. This is the highest of the three readings and it should be read as a ceiling rather than a centre. It values the plant at what a buyer would pay to avoid building one, and on a plate of 574,875 tonnes at the mid-point of the industry build range that is EGP 17,889m before anything is owed against it. What the method cannot see is that the plant has been running at about ninety per cent of that plate on rationed gas, and that the asset under construction — carried here at 60% of what has been spent on it — is exactly the asset whose return the cash-flow lens finds inadequate. The gap between this expert and the panel's lowest is not a disagreement about the plant. It is a disagreement about whether an asset that cannot earn its cost of capital is worth its replacement cost.

Named sensitivity. The build cost and the control discount are the two swing factors, and the range is their product: at US$550 per annual tonne with the 40% discount the reading is EGP 3.82; at US$700 with no discount it is EGP 8.52. The mid-point build cost with the discount, the central reading, is EGP 4.47.

Falsifier, stated in advance. A comparable Egyptian nitrogen asset transacting above US$700 per annual tonne, or a state-held listed subsidiary changing hands without a control discount. Either would show this method is set too low and the cash-flow lens should govern.

C.2 Expert 2 — Normalised earnings power

Worldview. Strip out the construction, the translation noise and the price cycle, and ask what this plant earns in an ordinary year. Value that.

When it works. For a mature single-asset producer whose economics are stable once the cycle is averaged out.

When it fails. When the capital structure or the asset base is changing underneath the earnings — which is exactly what is happening here, and why this expert's answer sits above the cash-flow lens.

Line	**Value**	**Basis**
Mid-cycle urea output (tonnes)	540,542	three-year average of audited output
Less subsidised deliveries (tonnes)	-155,000	obligation path
Less local free-market (tonnes)	-40,000	
Export tonnes	345,542	
Mid-cycle export price (US$/t)	400.00	above the 2015-2020 average, below spot
Exchange rate	56	
Export revenue (EGP m)	6,952	net of the 10% duty
Subsidised revenue (EGP m)	1,167	
Local free-market revenue (EGP m)	805	
Nitrate revenue (EGP m)	593	
Other revenue (EGP m)	140	
MID-CYCLE REVENUE (EGP m)	9,657	
Natural gas (EGP m)	-3,998	consumption x price x the rate
Other materials (EGP m)	-1,276	
Wages (EGP m)	-234	
Purchased services (EGP m)	-69	
Inland freight (EGP m)	-662	
Other selling (EGP m)	-194	
Administration (EGP m)	-396	
MID-CYCLE EBITDA (EGP m)	2,828	
Depreciation and amortisation (EGP m)	-891	
Tax at the statutory rate	-436	
MID-CYCLE OPERATING PROFIT AFTER TAX (EGP m)	1,502	

Line	Value	Basis
At ten times — enterprise value (EGP m)	15,016	
Less net debt (EGP m)	-10,032	
Plus non-operating assets (EGP m)	3,538	
PER SHARE (EGP)	4.29	

Table 32. Expert 2's workings in full — every intermediate line, not a summary of them.

Range: EGP 2.78 to EGP 5.80 a share.

Reading it. The middle reading, and the one closest to a conventional analyst's answer. It credits an ordinary year — EGP 9,657m of revenue and EGP 2,828m of operating profit before depreciation — and capitalises the after-tax result at ten times. Its blind spot is stated in its own worldview: a normalised year is a steady state, and this company is not in one. The capital programme sits entirely outside this table. Read strictly, this expert is valuing the plant that exists, and the reader who wants the whole company should subtract the programme's cost separately — which is what the cash-flow lens does inside a single model.

Named sensitivity. The multiple is the swing factor: eight times gives EGP 2.78, twelve times EGP 5.80. The mid-cycle price matters almost as much — every US$50 a tonne is worth roughly a pound a share.

Falsifier, stated in advance. Two consecutive years of EBITDA above EGP 4 billion with the capital programme funded out of operating cash flow. That would show the normalisation is too harsh and the multiple too low.

C.3 Expert 3 — The equity as a contingent claim

Worldview. When the value of the firm sits below the face value of its debt, the equity is not a claim on cash flows. It is an option on the assets, and a discounted-cash-flow model understates it because it ignores the shareholder's right to walk away.

When it works. For a leveraged, volatile business whose enterprise value is near or below its debt — precisely this situation.

When it fails. When the option holder cannot choose when to exercise, when further capital calls dilute the position, or when the enterprise comfortably covers its debt.

Line	Value	Basis
Enterprise value including non-operating assets (EGP m)	18,057	the underlying
Gross debt — the strike (EGP m)	14,639	31 March 2026
Time to the last dollar maturity (years)	5.00	discounted from 2035
Enterprise volatility a year	45.0%	the export price alone moved between US$380 and US$730 inside eighteen months
Risk-free rate in pounds	20.0%	
Call value on those parameters (EGP m)	13,181	
At 35% volatility (EGP m)	12,865	
At 55% volatility (EGP m)	13,598	
Adjustment for forced timing and dilution	-25.0%	
Adjusted call value (EGP m)	9,886	
PER SHARE (EGP)	4.98	

Table 33. Expert 3's workings in full — every intermediate line, not a summary of them.

Range: EGP 0.00 to EGP 5.13 a share.

On both sides of the contested judgement. With the programme carried through the claim is worth EGP 4.98 a share (EGP 0.00 to 5.13 across the volatility range); with the programme stopped the enterprise value rises to EGP 26,002 million and the same claim is worth EGP 7.89 (EGP 7.81 to 8.01). The two are published side by side and never averaged.

Reading it. The lowest and the widest of the three, and the only one that takes the debt seriously as a structural fact rather than as a subtraction. Enterprise value including the non-operating assets is EGP 18,057m against gross debt of EGP 14,639m, so the equity is out of the money on the model's own central case and its value is entirely time value. That is why the answer rises with volatility and with time, and why the grid below matters more than the point: at 30% volatility over three years the claim is worth EGP 3.84 a share, and at 60% over seven years EGP 5.78. A reader who finds it perverse that a worse business is worth more here has understood the method correctly: limited liability truncates the downside, so dispersion accrues to the holder. What the method cannot do is tell that holder when the option expires.

Time to maturity	30% volatility	35% volatility	45% volatility	55% volatility	60% volatility
3 years	3.84	3.90	4.05	4.23	4.33
5 years	4.82	4.86	4.98	5.13	5.22
7 years	5.47	5.50	5.58	5.71	5.78

Table 34. The claim in Egyptian pounds a share across the two parameters that decide it. The published figure is the five-year, forty-five per cent cell; every other cell is a full revaluation of the same option.

Named sensitivity. Volatility is the swing factor: at 35% the claim is worth EGP 4.86 a share, at 55% EGP 5.13. Time to maturity matters almost as much, because it is time for the enterprise to recover above the debt.

Falsifier, stated in advance. Enterprise value rising above the face value of the debt — which needs roughly a US$120 a tonne sustained improvement in the export price, or the capital programme being stopped. Either would retire the option framing and hand the question back to the cash-flow lens.

C.4 Cross-examination

Challenge	From	To	Conceded or rejected
Replacement cost values a plant nobody would build today at these gas terms and this utilisation. You are pricing an asset by what it cost, not by what it does.	Expert 2	Expert 1	CONCEDED in part. Expert 1 accepts the method sets a ceiling on what a rational buyer pays rather than a floor under what an owner receives, and that is why the control discount is applied rather than argued away. The range stands as the upper bound of the panel, not its centre.
Your mid-cycle year quietly assumes the new complex never absorbs another pound. That is the same blindness you accuse the multiple lens of.	Expert 3	Expert 2	CONCEDED. Expert 2 accepts that the normalised year is a steady-state construct and that the capital programme sits outside it entirely. The answer should be read as the value of the existing plant, with the programme's cost subtracted separately — which is what the cash-flow lens does.
An option framing rewards volatility, so the worse the business gets the more you say the equity is worth. That cannot be right.	Expert 1	Expert 3	REJECTED, with the mechanism given. The option value rises with volatility because a limited-liability holder cannot lose more than the shares cost; the downside is already truncated by the debt. What is conceded is that the holder cannot choose the exercise date and can be diluted by a rights issue, which is why a quarter is taken off the raw call value.
You are all discounting at rates the market plainly does not use. If none of you can reach the traded price, perhaps the rate is wrong rather than the price.	The reader	The panel	REJECTED as to method, CONCEDED as to consequence. The rate is built from the sovereign's own yield less its own default spread, which is the only construction that charges Egypt's risk once. But the panel accepts the practical point: the gap is reported as an implied discount rate precisely so a reader who disagrees can see exactly what they are disagreeing with.

C.5 The three in one room

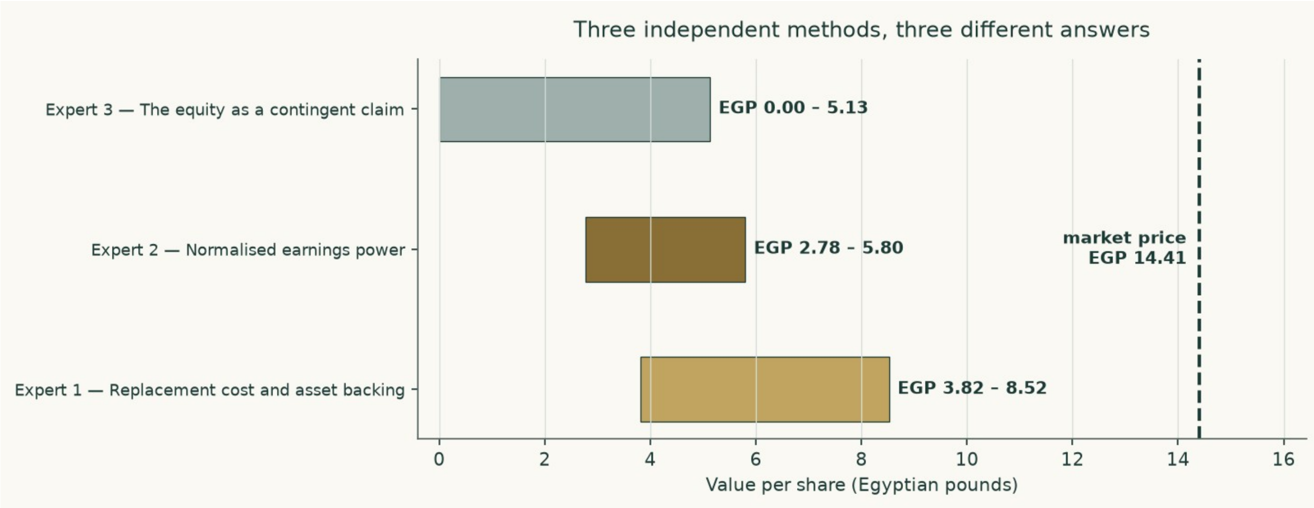

Figure 14. Three methods, three ranges, and none of them reaches the traded price.

Put together, the panel spans EGP 0.00 to EGP 8.52. They agree on more than the spread suggests: all three price the same plant, the same debt and the same programme, and all three land below the traded price. Where they part is on what to do about a business whose asset base is being rebuilt while its earnings stand still.

The most useful thing the panel produces is not a number but an ordering. The asset lens is highest because it credits what has been built without asking what it earns. The earnings lens sits in the middle because it credits a normal year but not the new plant. The option lens is lowest and widest because it takes the leverage seriously. Each is right about the thing it looks at and blind to the thing it does not.

C.6 Reading the divergence

Pair	Gap (EGP/share)	The single assumption that drives it
Expert 1 against Expert 2	1.04	Whether an asset is worth what it would cost to rebuild or what it earns in an ordinary year. On a plant running below plate on rationed gas, those are different numbers.
Expert 2 against Expert 3	-2.36	Whether the debt is a subtraction or a strike price. Above the debt it is a subtraction; below it, the equity is an option and the two methods stop agreeing.
Expert 1 against Expert 3	-1.32	Both of the above at once, which is why this is the widest pair.
The panel against the cash-flow lens	-4.04	The capital programme. Every expert method treats it more kindly than a year-by-year cash-flow model does, because none of them charges the full expenditure against the years in which it is actually spent.
The cash-flow lens against the market	-10.37	The discount rate, and only the discount rate. At about 13.0% the market's price is reproduced; at any rate anchored to Egypt's sovereign it is not.
The top of the field against the market	1.58	The relative lens, which never charges the capital programme, is the one reading that sits above the price.

Table 35. Each gap isolated to the one assumption that creates it.

About

This study is one of a series of independent valuation studies produced to a fixed method: the historical statements are taken only from the company's own issued documents; the forecast is built from the ground up in physical units; the cost of capital is constructed from the sovereign's own data rather than assumed; and the workbook that accompanies the document calculates rather than stores, so that a reader who disagrees with an assumption can change it and watch the answer move.

Every input behind this study — 304 of them — carries a value, a source, a date and a research layer, and all of them are printed in the separate bibliography document. Where a number is constructed rather than reported, the construction is stated. Where a needed number could not be obtained, that is stated too.

Disclosure

Educational analysis. This document is an independent educational analysis. It is not investment advice, not a recommendation, and not an offer or solicitation.

No rating, no target. It contains no rating and no price target. It reports a range of fair values and the reasoning behind them.

Point in time. It reflects information available on 5 September 2026 and the closing price of 2026-09-03, which is what the valuation is struck against. The price map in section 3 stands on its own earlier anchor of 2026-08-06, the last session in this study's price library, and says so where it is published. It will age, and it is not updated.

Sources and their limits. Historical figures come from the company's own audited and reviewed statements. Those statements carry qualifications, set out in section 7; a reader should weigh them.

Model risk. The forecast depends on judgements that are stated and sensitised. Reasonable people will choose different inputs and reach different answers, which is why the contested judgement is published both ways rather than averaged.

No position. The author holds no position in the subject and receives no compensation from it or from any party with an interest in it.